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Greater China Technology Hardware | Asia Pacific

Move Giga-Byte to Top Pick; Upside to AI Rack Deliveries

We move our top pick to Giga-Byte and think it will outperform from here after being a laggard within our downstream TW AI Server coverage, despite a stronger result and outlook vs. two months ago. We also update our downstream AI server coverage, raising AI rack estimates across our coverage.

Key Takeaways

- Wiwynn has rallied 51% since early April, outperforming our OW-rated ODM/OEMs, with Giga-Byte lagging (up 16%)
- We raise Wistron EPS estimates and PT due to higher system-level AI forecasts from US enterprise customers to ~5.2k racks for 2025 (up from ~4k racks).
- We raise Quanta EPS estimates and PT on increased rack-level AI server output to hyperscalers to ~9.5k racks for 2025 (up from ~8k racks).
- We raise Wiwynn EPS estimates and PT on increased rack-level AI server output to ~800 racks for 2025 (up from ~550 racks).

Shifting Top Pick to Giga-Byte: Wiwynn has outperformed materially, up 51% since April 7 (vs. +12% for TAIEX), while Giga-Byte has underperformed our other OW-rated downstream AI server ODM/OEM names. We also have [higher conviction on Giga-Byte post 1Q earnings](#) due to the margin beat, primarily due to its higher AI server gross margin, supported by a wider set of customers, and more customers that rely on its customization efforts and after-sales services. This should help keep Giga-Byte's margins elevated. As well, the outlook has improved compared to early April, giving us higher conviction that there is alpha to be made. Valuation is cheap at ~11x 2026e P/E vs. average of ~14x over the past three years.

Seeing upside to AI server racks for 2025: We came away from Computex slightly more bullish around full-year GB200/300 rack shipments. Based on our downstream supply-chain checks, we think 25-30k racks of GB200/300 servers is a more reasonable number for the industry in 2025. We have been seeing component yield improving for the supply chain, and [rack output increasing meaningfully since April vs. 1Q](#). Fil also talked about implementing self-designed automation equipment and AI algorithms to shorten assembly cycle time, [driving increasing output month over month and quarter over quarter throughout the end of the year](#).

Stock implications: Our order of preference for downstream AI server OEM/ODMs is **Giga-Byte (Top Pick)**, followed by **Hon Hai**, **Quanta**, **Wistron**, **Wiwynn**. We focus mainly on the OEM/ODMs in this note, but we also like **Lenovo** (0992.HK, has also been a laggard) as a beneficiary of edge AI and cloud AI, and we like **Gold Circuit** (2368.TW) as a well positioned AI server and high-end networking PCB supplier.

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Industry View **In-Line**

Exhibit 1 : Key Stocks and What's Changed

Company	Ticker	Rating		PT		EPS change		PT PE		Current PE
		New	Old	New	Old	2025	2025	2025	2025	
Wistron	3231.TW	OW	OW	140	120	0%	5%	15.1x	12.9x	10.5x
Wiwynn	6669.TW	OW	OW	2,775	2,650	-2%	5%	17.2x	15.6x	14.7x
Giga-Byte	2376.TW	OW	OW	350	350	0%	0%	15.8x	15.0x	11.7x
Quanta	2382.TW	OW	OW	385	325	3%	3%	17.0x	16.0x	13.5x
Asustek	2357.TW	EW	EW	615	615	0%	0%	11.6x	12.2x	11.8x
Hon Hai	2317.TW	OW	OW	200	200	0%	0%	16.3x	14.8x	12.5x

Source: Morgan Stanley Research estimates. Prices as at May 26, 2025 close.

Top Pick
To: **Giga-Byte Technology Co. (2376.TW)**
From: **Wiwynn Corp. (6669.TW)**

For detailed understanding of the complexity in the AI cloud server supply chain, please refer to our global foundation report: [Global Technology: Unraveling the Global Cloud AI Supply Chain \(28 Feb 2025\)](#)

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AI server stocks are all back to pre-April 2 levels

After a month of volatility, the majority of server ODM/OEM stocks in Taiwan are now trading at or higher than their share prices before April 2 (when tariffs were announced). In Taiwan, within our downstream AI server ODM/OEM coverage, Asustek is now trading 2% higher than where it was on March 14 prior to the tariffs being announced, Quanta is trading 3% higher, Wistron is trading 8% higher and Wiwynn is trading 19% higher (vs. down 2% for TAIEX). Under our coverage, Giga-Byte and Hon Hai are the only two AI server stocks that are still trading lower (at 1% and 10% below, respectively) than their March 14 levels ([Exhibit 3](#)).

Moving Giga-Byte to Top Pick

Giga-Byte's underperformance vs. peers is one of the reasons we decided to make it our Top Pick (from Wiwynn): We have had high conviction on Wiwynn since early April because Mexico was exempt from tariffs ([report here](#)) and given that its main AI server exposure comes from AWS' Trainium 2 server racks, which had seen strong growth in the preceding three quarters. As seen in [Exhibit 4](#), Wiwynn's stock price has rebounded 51% over the past 1.5 months, meaningfully outperforming its AI server ODM/OEM peers in Taiwan over the same period (vs. +12% for the TAIEX). Over the same period, Wistron's stock is up 28%, Quanta is up 26%, Giga-Byte is up 16%, Asustek is up 15%, and Hon Hai is up 10%.

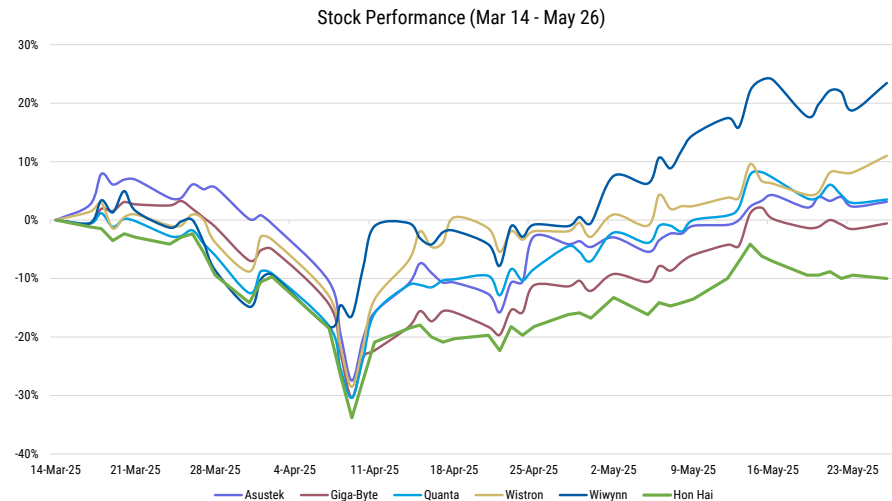
Giga-Byte's underperformance to date is not the only reason we move it to Top Pick: Its 1Q25 results were meaningfully better than our and consensus estimates ([report here](#)). The margin upside is driven by:

- An increased mix of higher-margin MB/VGA and a better mix within MB/VGA toward higher-end SKUs
- A lower margin AI server decline q/q.
- Improved AI server mix with further customer diversification driving a higher mix of enterprise customers and more customization.

We are of the view that VGA demand will remain strong in 2Q and 3Q with the sale of RTX 50 series graphic cards, and believe Giga-Byte's customer diversification efforts for its AI server portfolio will continue to play out and help its margins remain at a level similar to what we saw in 1Q. This higher margin profile is the primary reason why we raised our PT to NT\$350.00 post 1Q results.

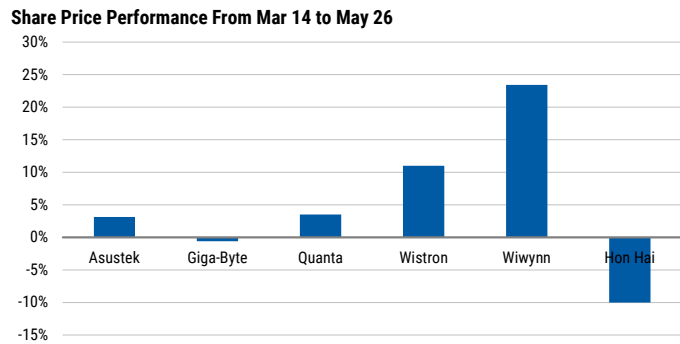
Valuation is cheap at 11x 2026e P/E: Giga-Byte's current valuation is cheap at ~11x 2026e P/E vs. average of ~14x over the past three-years and a range of 7x to 27x. We continue to believe the stock should re-rate on rising AI server demand, which will only grow in the long term, especially now that inference demand is picking up. This is especially important for a company like Giga-Byte, which primary sells to channel and enterprise businesses. We believe Giga-Byte's AI server business will only continue to grow in the coming years, and enjoy rising MGX-related AI server sales (i.e., PCIe versions), such as the RTX PRO 6000 servers that were recently just announced during NVIDIA's Computex keynote by its Chairman and CEO Jensen Huang ([report here](#)).

Exhibit 2: TW AI Server OEM/ODM share price performance from March 14 to May 26



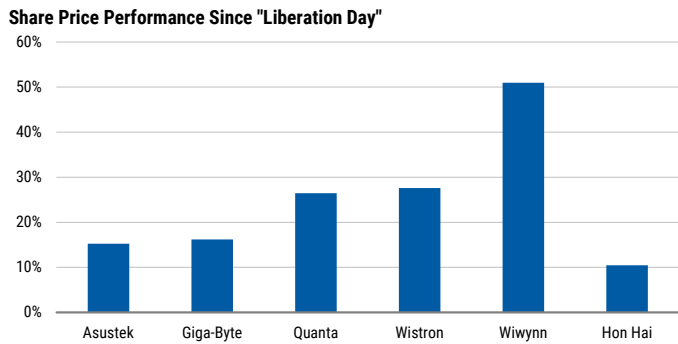
Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: TEJ, Morgan Stanley Research.

Exhibit 3: TW AI Server OEM/ODM share price performance from March 14 to May 26



Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: TEJ, Morgan Stanley Research.

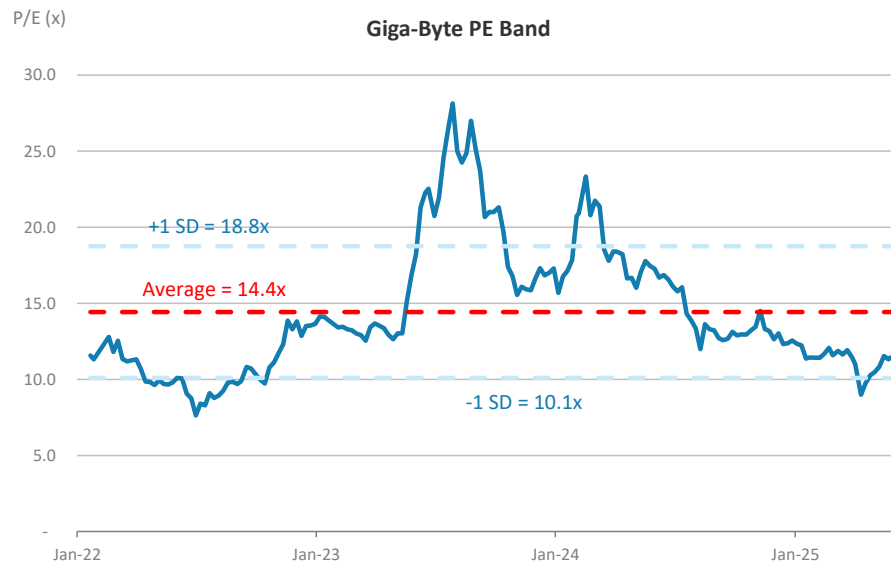
Exhibit 4: TW AI Server OEM/ODM share price performance April 7 to May 26



Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: TEJ, Morgan Stanley Research.

Exhibit 5:

Giga-Byte's three-year P/E chart



Source: Morgan Stanley Research estimates.

Stronger AI server rack delivery for the year

Before Computex, our downstream supply-chain checks indicated that full-year GB200/300 rack shipments would be 20-25k racks. However, **post Computex 2025, we think there is likely upside to this number (20-25K of GB racks)**, as our conversations with the industry and supply chain during the week left us more optimistic about rack output for the year ([report here](#)). From the supply chain's point of view, we believe ~1k GB200 racks were shipped in 1Q ([report here](#)), with April rack shipments picking up to ~1.5k across the three major ODMs (Hon Hai, Quanta, and Wistron), and we think 5-6k racks is an achievable forecast for 2Q. This means we think the quarterly run rate can reach 10k or above in 3Q and 4Q.

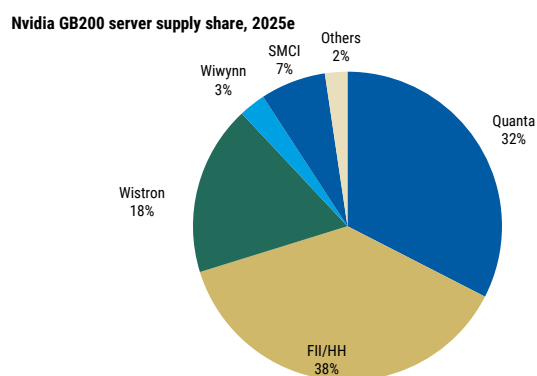
FII's chairman sounded positive on rack output due to shortening test times: Based on our conversations with the supply chain, major yield issues at the component level have been resolved. Based on FII Chairman's comments ([see Sharon Shih's report here](#)), FII has been implementing self-designed automation equipment and AI algorithms to shorten the cycle time for GB200 rack assembly, and it believes this will drive increased output both month over month and quarter over quarter. FII has also started to receive orders for GB300, and aims to have GB300 server rack production ready by the end of 2Q, with shipments to commence in early 2H25, but shipment volume will be dependent on customers' new data center construction progress.

Seeing further upside to Wistron's compute tray assembly business: We also see an increase in forecast orders placed at Wistron from its enterprise customers. Based on our supply-chain checks, we think its order forecast for 2025 has increased by more than 1k units. As a result, we have increased our estimate for Wistron's compute tray business to ~5.2k rack equivalent (up from ~4k rack equivalent [previously](#)). This drives the increases in our EPS forecasts and our PT for Wistron, with our PT raised to NT\$140.00 from NT\$125.00.

Asia ODMs should have 90%+ share in 2025

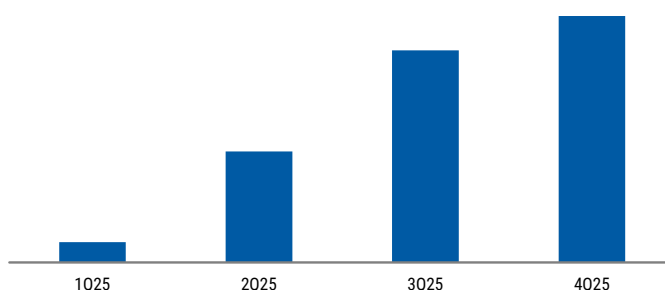
We believe the main ODMs in Taiwan combined account for 90%+ of the total supply share in 2025: We believe Hon Hai and FII will be the main GB200/300 rack suppliers this year, with ~40% share, followed by Quanta at ~30% and Wistron at ~20%, with Wiwynn at ~3%. The remaining share belongs to other ODM/OEMs like SuperMicro, HPE, Inventec, Asustek, Lenovo, Giga-Byte, etc. Based on our supply-chain checks, GB300 should be rack-ready by 3Q25 and we should see rack delivery pick up from 3Q. This implies that the majority of rack shipments this year will still be mainly GB200, based on downstream checks, with GB300 volumes likely not over-taking GB200 volumes until 1Q26.

Exhibit 6: GB200/300 NVL72 server rack ODM/OEM supply share (2025)



Source: Morgan Stanley Research estimates

Exhibit 7: GB200/300 rack ramp trajectory for downstream ODM/OEMs (2025)



Source: Morgan Stanley Research estimates

We also see upside to demand with more AI factory investments in the Middle East

There have been several investments announced from the Middle East region that could drive an aggregate investment amount of at least US\$500bn for a total of 8GW of power demand by 2030. We estimate this could add close to 150k racks of GB300-equivalent system shipments over the next five years. For more details, please see our report: [Implications from AI Factory Investment in Middle East](#).

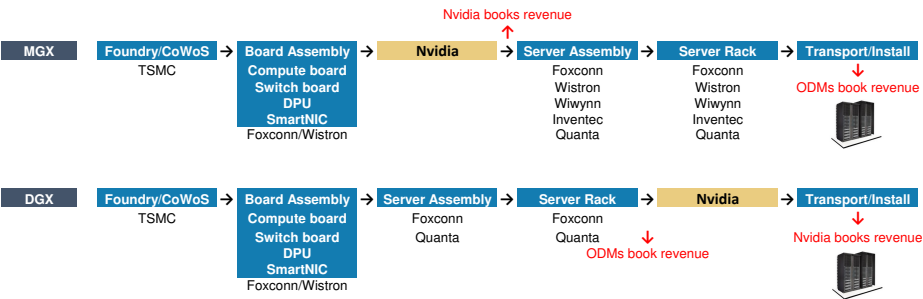
Implications for AI server hardware supply chain: This is positive for the entire supply chain, but we think it is likely more positive for the brands (i.e., Dell, SMCI, Lenovo, etc.) because of the lack of hardware expertise and capability in these Middle Eastern projects to work directly with the ODMs. Our sense is that they will likely rely on others to come in to help them deploy the AI infrastructure and provide after-sales service.

For the downstream companies in the Greater China region, this makes Lenovo, Asustek and Giga-Byte potential suppliers. Lenovo is the potential frontrunner, with its strategic partnership announced with Alat, a wholly owned subsidiary of the Public Investment Fund (PIF) in KSA, on May 28, 2024. However, Lenovo's factory construction in KSA is ongoing, and we think the production site needs to be ready before it can see benefits, as AI server assembly typically needs to be built locally.

For the ODMs, we think Hon Hai, FII and Wistron would also be good proxies. Hon Hai and FII are responsible for building computing boards and switch trays for NVIDIA. and are also close partners in system assembly for server brands (i.e., Dell, Oracle, HPE, etc.). Wistron

is a close partner with server brands in system assembly (i.e., Dell, HPE, Cisco, etc.). It also could benefit if its subsidiary, Wiwynn, is able to leverage its business in AI projects in Kuwait, etc. While we have not baked in any Middle East investments into our numbers for Wistron or Wiwynn, we think these investments could boost earnings in the medium term.

Exhibit 8: NVIDIA GB200/300 rack supply chain flow chart



Source: Morgan Stanley Research.

Exhibit 9: GB200 supply chain



Source: Morgan Stanley Research.

GB200/300 NVL72 Margin Analysis For Downstream Assemblers

About 1.7% gross margin for pure assembly charge for a GB200 NVL72 rack: Baked into this is an assumption that the value of a GB200 NVL72 rack is ~US\$3mn, within which the Blackwell GPUs take up is ~72% of value share. For this scenario, we assume that the ODMs are building these racks for the hyperscalers under the buy-and-sell method (i.e., ODMs are buying the Blackwell GPUs from NVIDIA and re-selling to the hyperscalers). In terms of pure assembly, we think the value add is around 1.7%, or slightly more than US \$50,000.

ODM value-add for GB300 should be similar to GB200: We are still a bit unsure what the ODM's value-add for GB300 would be now, but based on our checks with the downstream supply chain, the majority of the value-add for the ODMs should be largely similar, so we would think the rack assembly value add would be largely unchanged for GB300 vs. GB200. We think the main upgrade will be at the chip level (i.e., B200 to B300, CX7 to CX8), which we think would drive the GB300 NVL72 rack ASP to ~US\$3.2-3.3mn, or up 6-10% vs. GB200. This would imply that the gross margin charge for pure assembly would see a slight decline to ~1.6% for a GB300 NVL72 rack.

Exhibit 10: GB200 NVL72 margin analysis

GB200 NVL72	ASP (US\$)	#	Value (US\$)	% of BOM	GM (%)	GP (US\$)
Bianca board (1x Grace, 2x Blackwell)	2,800	36	100,800	3.4%	18.0%	18,144
Switch board	1,800	9	16,200	0.5%	18.0%	2,916
Peripheral boards	600	90	54,000	1.8%	20.0%	10,800
B200 GPU	30,000	72	2,160,000	72.0%	0%	-
NVLink switch	1,000	18	18,000	0.6%	0%	-
Grace CPU	5,000	18	90,000	3.0%	0%	-
Thermal components			87,950	2.9%	20%	17,590
Cold plate module (6x per compute tray)	300	108	32,400		0%	-
Cold plate module (2x per switch tray)	200	18	3,600		0%	-
Cooling fans (8x per compute tray)	25	144	3,600		0%	-
Cooling fans (6x per switch tray)	25	54	1,350		0%	-
Side car CDU (supports 2x racks)	30,000	1	30,000		0%	-
Manifold (CDM)	13,500	1	13,500		0%	-
Others	3,500	1	3,500		0%	-
Others			473,050	15.8%	10%	47,305
Rack assembly value add					1.7%	52,000
Total			3,000,000		5.0%	148,755

Source: Morgan Stanley Research estimates

Where we could be wrong?

- GB300 does not ramp as smoothly as expected.
- Lower-than-expected demand for GB200, resulting in some inventory concerns for the supply chain.
- Pricing competition for GB racks resulting in lower value-add for rack assemblers.

Wistron: Earnings Estimate Change

Our 2025 and 2026 EPS estimates increase 9% and 5%, respectively, to reflect the upside from GB200 shipments. We also introduce our 2027 earnings estimates.

Exhibit 11: Earnings estimate changes

Year to Dec. 31	2025E			2026E			2027E
(NT\$m)	New	Old	% diff	New	Old	% diff	New
P&L Summary							
Net sales	1,751,139	1,616,657	8%	2,080,030	1,942,197	7%	2,357,710
COGS	(1,640,347)	(1,506,642)		(1,957,608)	(1,816,187)		(2,231,502)
Gross profit	110,792	110,015	1%	122,421	126,010	-3%	126,209
Operating expenses	(50,773)	(51,639)		(55,079)	(58,751)		(56,817)
Operating income	60,019	58,375	3%	67,342	67,259	0%	69,391
Non-operating income	(3,176)	(2,776)		(2,769)	(2,769)		(2,244)
Pre-tax income	56,843	55,600	2%	64,574	64,491	0%	67,148
Income tax	(13,541)	(13,265)		(14,985)	(14,969)		(15,584)
Minority interest	16,827	17,945		18,488	20,014		19,463
Net income	26,475	24,390	9%	31,101	29,507	5%	32,101
EPS (NT\$)	9.27	8.54	9%	10.89	10.33	5%	11.24
Margins							
Gross margin	6.3%	6.8%		5.9%	6.5%		5.4%
Operating margin	3.4%	3.6%		3.2%	3.5%		2.9%
Pretax margin	3.2%	3.4%		3.1%	3.3%		2.8%
Net margin	1.5%	1.5%		1.5%	1.5%		1.4%

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

Our price target (base-case value) is raised to NT\$140; stay OW: The current share price implies 12.5x our 2025 EPS estimate and 10.7x our 2026 EPS estimate, which we consider undervalued as Wistron continues to shift away from low-profit consumer businesses (e.g., smartphone EMS) into more commercial exposures (e.g., switches and servers). Our price target also implies 15.1x and 12.9x our 2025 and 2026 EPS estimates, respectively, slightly above Wistron's three-year average of ~12x. We think this is fair given sustainable AI server demand, but we also factor in some conservatism for its PC/display business in view of growing macro uncertainties.

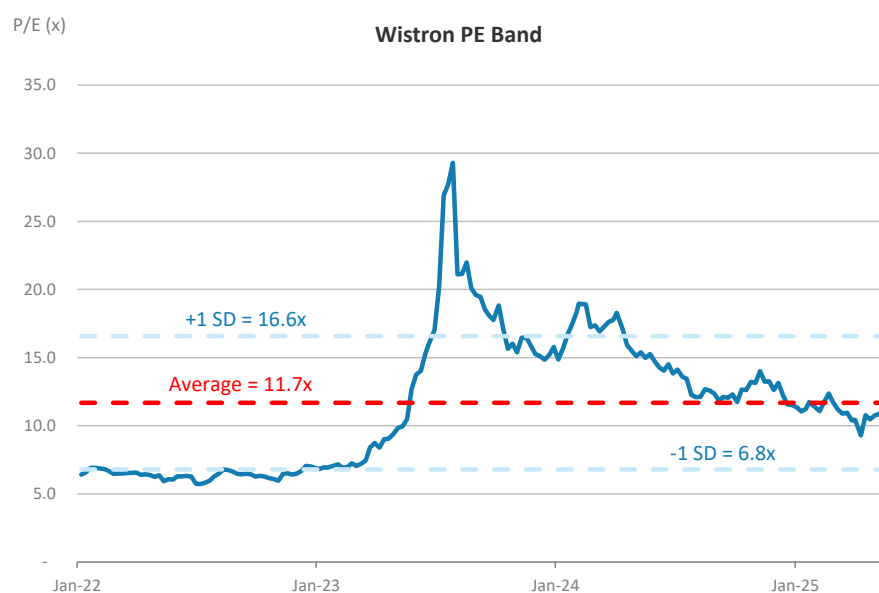
We continue to use a residual income model to value the stock. Our key assumptions (all unchanged) include a cost of equity of 8.7%, medium-term growth rate of 7.0% and terminal growth rate of 3%.

Our bull- and bear-case values increase by similar magnitudes of the change to our price target (base-case value) to NT\$195.00 and NT\$72.00, respectively.

Exhibit 12: Residual income (RI) model

NT\$ mn	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Equity	196,612	207,898	240,400	263,798	288,834	315,623	344,287	374,957	407,775	442,889	480,462
Net Profit	26,475	31,101	32,101	34,348	36,752	39,325	42,078	45,023	48,175	51,547	55,155
Return on Equity	13.8%	15.4%	14.3%	13.6%	13.3%	13.0%	12.8%	12.5%	12.3%	12.1%	11.9%
Beta	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
Equity Risk Premium (Rm-Rf)	5.99%	5.99%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.50%	1.50%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Cost of Equity	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Beginning Equity Capital	196,612										
PV of Forecast Period	83,484										
PV of Continuing Value	113,339										
Equity Value	393,434										
No. of Shares	2,810										
Projected Price (EoY)	140.0										
Implied 2025 P/E	15.1x										

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 13: Wistron: P/E trend

Source: Company data, Morgan Stanley Research estimates.

Financials

Exhibit 14: Quarterly Earnings Estimates

(NT\$m)	1Q24	2Q24	3Q24	4Q24	1Q25P	2Q25E	3Q25E	4Q25E	2024A	2025E	2026E	2027E
Net sales	239,325	240,207	272,542	297,182	346,485	452,601	536,558	415,495	1,049,256	1,751,139	2,080,030	2,357,710
COGS	(222,095)	(220,124)	(249,798)	(273,149)	(319,430)	(424,410)	(507,425)	(389,083)	(965,165)	(1,640,347)	(1,957,608)	(2,231,502)
Gross profit	17,230	20,083	22,745	24,033	27,056	28,191	29,133	26,412	84,091	110,792	122,421	126,209
Operating expenses	(10,171)	(11,431)	(11,336)	(12,175)	(11,906)	(12,357)	(13,254)	(13,257)	(45,112)	(50,773)	(55,079)	(56,915)
SG&A, R&D exp.	(10,171)	(11,431)	(11,336)	(12,175)	(11,906)	(12,357)	(13,254)	(13,257)	(45,112)	(50,773)	(55,079)	(56,817)
Employee bonus	0	0	0	0	0	0	0	0	0	0	0	(98)
Operating income	7,059	8,652	11,409	11,858	15,150	15,834	15,880	13,155	38,979	60,019	67,342	69,293
Non-operating income	948	473	(1,220)	796	(343)	(1,011)	(911)	(911)	997	(3,176)	(2,769)	(2,244)
Interest income	(1,190)	(1,358)	(1,200)	(1,045)	(1,591)	(1,511)	(1,411)	(1,411)	(4,794)	(5,924)	(4,769)	(4,244)
Investment income	92	278	119	133	157	200	200	200	621	757	800	800
Disposal of investment	(141)	(5)	(1)	165	0	0	0	0	18	0	0	0
Exchange gain	1,526	843	(561)	1,308	0	0	0	0	3,116	0	0	0
Other	661	715	423	236	1,091	300	300	300	2,035	1,991	1,200	1,200
Pre-tax income	8,007	9,125	10,189	12,654	14,807	14,823	14,969	12,245	39,975	56,843	64,574	67,050
Income tax	(1,799)	(2,052)	(2,293)	(3,195)	(3,638)	(3,706)	(3,443)	(2,755)	(9,339)	(13,541)	(14,985)	(15,584)
Minority interest	2,684	2,661	3,697	4,148	5,838	4,348	3,703	2,938	13,191	16,827	18,488	19,463
Net income	3,524	4,412	4,199	5,311	5,331	6,769	7,823	6,551	17,446	26,475	31,101	32,003
Adj. wtd. avg. shrs (mn)	2,838	2,851	2,853	2,854	2,854	2,854	2,854	2,854	2,855	2,855	2,855	2,855
EPS	1.24	1.55	1.47	1.86	1.87	2.37	2.74	2.30	6.11	9.27	10.89	11.24
Fully Diluted shares (mn)	2,838	2,851	2,853	2,854	2,854	2,854	2,854	2,854	2,855	2,855	2,855	2,855
Diluted EPS (NT\$)	1.24	1.55	1.47	1.86	1.87	2.37	2.74	2.30	6.11	9.27	10.89	11.24
Margins (%)												
Gross Margin	7.2	8.4	8.3	8.1	7.8	6.2	5.4	6.4	8.0	6.3	5.9	5.4
Operating Margin	2.9	3.6	4.2	4.0	4.4	3.5	3.0	3.2	3.7	3.4	3.2	2.9
Pretax Margin	3.3	3.8	3.7	4.3	4.3	3.3	2.8	2.9	3.8	3.2	3.1	2.8
Net Margin	1.5	1.8	1.5	1.8	1.5	1.5	1.5	1.6	1.7	1.5	1.5	1.4
QoQ Growth (%)												
Sales	4	0	13	9	17	31	19	-23				
Gross Profit	-20	17	13	6	13	4	3	-9				
Operating Profit	-33	23	32	4	28	5	0	-17				
Pretax Profit	12	14	12	24	17	0	1	-18				
Net Profit	6	25	-5	27	0	27	16	-16				
YoY Growth (%)												
Sales	13	16	26	29	45	88	97	40	21	67	19	13
Gross Profit	16	28	33	12	57	40	28	10	22	32	10	3
Operating Profit	49	62	68	13	115	83	39	11	42	54	12	3
Pretax Profit	205	48	21	78	85	62	47	-3	64	42	14	4
Net Profit	1,928	35	-11	59	51	53	86	23	52	52	17	3

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 15: Consolidated Financial Summary

Consolidated Income Statement					Consolidated Cash Flow Statement				
NT\$m (Year End Dec 31)	2024A	2025E	2026E	2027E	NT\$m (Year End Dec 31)	2024A	2025E	2026E	2027E
Net sales	1,049,256	1,751,139	2,080,030	2,357,710	Operating Cashflow	5,750	99,539	34,732	40,655
COGS	(965,165)	(1,640,347)	(1,957,608)	(2,231,502)	Net Profits	17,446	26,475	31,101	32,101
Gross profit	84,091	110,792	122,421	126,209	Depreciation & Amort.	11,246	12,603	15,152	17,682
Operating expenses	(45,112)	(50,773)	(55,079)	(56,817)	Investment losses/(income)	(452)	(757)	(800)	(800)
Operating income	38,979	60,019	67,342	69,391	Working capital change	(82,466)	68,485	(7,316)	(5,453)
Non-operating income	997	(3,176)	(2,769)	(2,244)	Other adjustments	60,397	(7,267)	(3,405)	(2,875)
Interest income	(4,794)	(5,924)	(4,769)	(4,244)	Investing Cashflow	(20,094)	(24,291)	(26,754)	(18,524)
Investment income	621	757	800	800	Capex	(16,593)	(27,692)	(30,813)	(23,138)
Disposal of investment	18	-	-	-	Change of L/T investment	2,173	0	0	0
Exchange gain	3,116	-	-	-	Change of S/T investment	(1,834)	0	0	0
Other	2,035	1,991	1,200	1,200	Other adjustments	(5,322)	(101)	(101)	(101)
Pre-tax income	39,975	56,843	64,574	67,148	Financing Cashflow	12,855	(38,615)	(17,370)	2,589
Income tax	(9,339)	(13,541)	(14,985)	(15,584)	Increase in L/T debt	17,792	0	0	0
Minority interests	13,191	16,827	18,488	19,463	Increase in S/T debt	(18,995)	0	0	0
Net income	17,446	26,475	31,101	32,101	Issuance of stock	0	(674)	1	1
Adj. wtd. Avg. shrs (m)	2,855	2,855	2,855	2,855	Cash dividends	(7,462)	(17,209)	(20,216)	0
Reported EPS (NT\$)	6.11	9.27	10.89	11.24	Other adjustments	21,520	(20,733)	2,844	2,588
Diluted shrs (m)	2,855	2,855	2,855	2,855	FX adjustment	5,329	0	0	0
Diluted EPS (NT\$)	6.11	9.27	10.89	11.24	Net change in cash	3,840	36,633	(9,392)	24,721
Consolidated Balance Sheet					Consolidated Financial Ratios				
NT\$m (Year End Dec 31)	2024A	2025E	2026E	2027E		2024A	2025E	2026E	2027E
Cash	83,223	119,855	110,463	135,184	Margins (%)				
Mkt securities	4,945	4,945	4,945	4,945	Gross margin	8.0	6.3	5.9	5.4
AR/NR	190,483	241,657	287,044	325,364	Operating margin	3.7	3.4	3.2	2.9
Inventory	190,697	172,236	205,549	234,308	Pretax margin	3.8	3.2	3.1	2.8
Others	10,863	18,130	21,535	24,410	Net margin	1.7	1.5	1.5	1.4
Current Assets	480,212	556,824	629,537	724,211	YoY growth (%)				
Long-term investments	21,109	21,109	21,109	21,109	Sales	21.0	66.9	18.8	13.3
Fixed assets	57,284	68,872	80,373	81,113	Operating profits	42.3	54.0	12.2	3.0
Other assets	31,236	31,337	31,438	31,539	Pretax profits	64.4	42.2	13.6	4.0
Total Assets	589,841	678,142	762,456	857,972	Net profits	52.1	51.8	17.5	3.2
S/T borrowings	81,707	81,707	81,707	81,707	Others				
AP/NP	177,016	328,069	391,522	446,300	Cash dividend payout (%)	64%	62%	66%	66%
Other ST liabilities	90,864	41,009	48,940	55,788	Cash div (NT\$)	2.60	3.80	6.08	7.15
Total Current Liabilities	349,587	450,786	522,169	583,795	Yield (%)	11%	16%	NM	NM
L/T debt	21,989	21,989	21,989	21,989	Net Debt/Equity (%)	8%	-11%	-6%	-15%
Other LT liabilities	31,479	8,756	10,400	11,789	Liabilities/Equity (%)	216%	245%	267%	257%
Total Liabilities	403,055	481,530	554,558	617,573	Liabilities/Assets (%)	68%	71%	73%	72%
Common shares	28,964	28,289	28,289	28,289	ROAE (%)	11%	14%	15%	14%
Retained Earnings	95,852	104,361	114,447	145,748	ROAA (%)	3%	4%	4%	4%
Other SH' Equity	61,969	63,961	65,162	66,363	AR/NR Turnover (days)	54	45	46	47
Total Shareholders' Equity	186,785	196,612	207,898	240,400	Inventory Turnover (days)	59	40	35	36
Total Liab./SH's Equity	589,841	678,142	762,456	857,972	AP/NP Turnover (days)	56	56	67	69
					Cash conversion cycle	57	29	15	15

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Wistron Corporation (3231.TW)

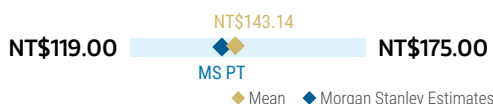
Well positioned for B200/300 and GB200/300 with undemanding valuation; OW

PRICE TARGET NT\$140.00

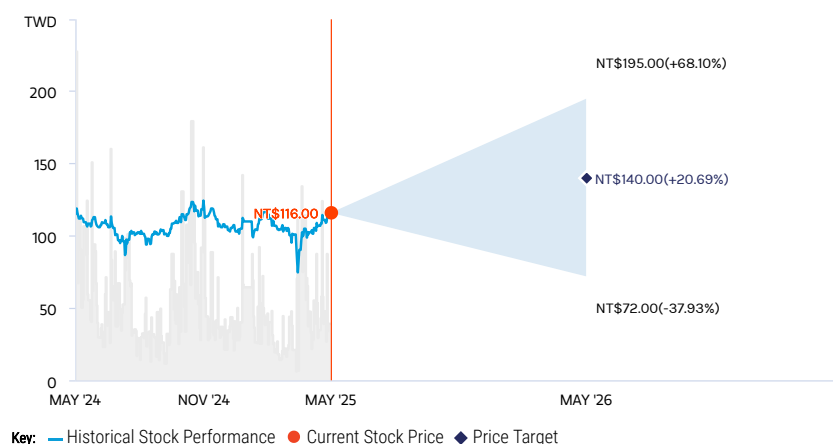
Base case, residual income valuation. Key assumptions: 8.7% cost of equity, 7.0% medium-term growth rate and 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

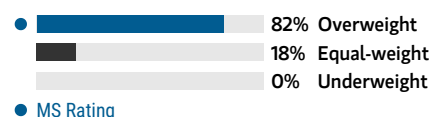


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see Wistron's NB shipments normalizing at a higher level and even growing in 2025-26 vs. pre-Covid, with tailwinds from commercial refresh with Windows 10 EOL in October 2025, plus rising AI PC penetration.
- The market is still not pricing in Wistron's GB200/300 projects for US enterprise customers and the increased demand for HGX UBB as a result of a delayed GB rollout schedule.
- Our price target implies ~15x 2025e P/E and ~13x 2026e P/E, above three-year historical average at ~12x, which we think is fair.
- Valuation is not demanding.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
 Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$195.00

21x 2025e EPS

Much stronger-than-expected NB shipments and rising new product contributions: 1) Total sales rise at a 50-55% CAGR, 2024-27, with stronger AI growth driven by better ASP and demand, and AI reaching 40-45% revenue contribution by 2026. 2) AI-related revenue rises at a 160-170% CAGR, 2024-27. 3) Operating margin improves to ~5% by 2026, from 3.2% in 2023.

BASE CASE

NT\$140.00

15.1x 2025e EPS

1) Total sales rise at a 30-35% CAGR, 2024-27, driven by AI sales. 2) AI-related revenue rises at a 110-120% CAGR, 2024-27, with contribution rising to ~32% by 2026 from 3.3% in 2023. 3) Operating margin stays flattish at 3.2% in 2026 vs. ~3.2% in 2023, because AI servers are margin-dilutive.

BEAR CASE

NT\$72.00

7.8x 2025e EPS

Limited server growth, and NB deteriorates more than expected: 1) Total sales post just a 10-15% CAGR, 2024-27, with AI momentum slowing in 2026. 2) AI-related sales record just a 40-45% CAGR during the same period. 3) Operating margin decreases to just ~2.8% by 2026, from 3.2% in 2023.

Risk Reward – Wistron Corporation (3231.TW)

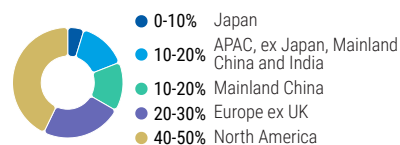
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
NB shipment y/y (%)	6.3	1.5	4.4	3.0
AI server revenue y/y (%)	200.9	538.0	22.7	19.9
NB OPM (%)	1.0	0.9	0.9	0.9
AI server OPM (%)	6.7	2.7	2.3	1.6

INVESTMENT DRIVERS

- AI server demand
- Notebook demand
- Server demand
- Switch demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected divestiture of consumer electronics business
- Stronger-than-expected NB demand
- Margin expansion from better product mix
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Slower-than-expected divestiture of consumer electronics business
- Weaker-than-expected NB demand
- Margin contraction from sales shortfall and fierce competition
- Slower-than-expected AI server penetration

OWNERSHIP POSITIONING

Inst. Owners, % Active 56.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (NT\$, mn) 1,252,394 1,519,157 1,751,139

EBITDA (NT\$, mn) 62,667 72,622 80,660

Net income (NT\$, mn) 21,855 26,475 27,270

EPS (NT\$) 7.66 9.27 9.48

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Wiiwynn: Earnings Estimate Changes

Our 2025 EPS estimate declines 2%, as we lower our margin assumptions to reflect higher AI server shipments. Our 2026 EPS estimate increases by 5%, reflecting higher assumptions for AI server shipments in 2026.

We also introduce our 2027 earnings estimates.

Exhibit 16: Earnings Estimate Changes

Year to Dec. 31 (NT\$m)	2025E			2026E			2027E
	New	Old	% diff	New	Old	% diff	New
P&L Summary							
Net sales	632,598	581,336	9%	791,678	742,141	7%	889,222
COGS	(582,356)	(531,644)		(734,982)	(687,136)		(828,099)
Gross profit	50,243	49,692	1%	56,696	55,005	3%	61,123
Operating expenses	(12,164)	(12,629)		(14,360)	(16,370)		(16,525)
Operating income	38,079	37,063	3%	42,336	38,636	10%	44,598
Non-operating income	(855)	518		(1,064)	518		(1,064)
Pre-tax income	37,224	37,581	-1%	41,272	39,154	5%	43,534
Income tax	(8,264)	(8,159)		(9,029)	(8,506)		(9,591)
Net income	28,959	29,422	-2%	32,244	30,648	5%	33,943
Diluted EPS (NT\$)	160.93	163.50	-2%	179.18	170.32	5%	188.63
Margins							
Gross margin	7.9%	8.5%		7.2%	7.4%		6.9%
Operating margin	6.0%	6.4%		5.3%	5.2%		5.0%
Pretax margin	5.9%	6.5%		5.2%	5.3%		4.9%
Net margin	4.6%	5.1%		4.1%	4.1%		3.8%

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

We raise our price target to NT\$2,775.00 from NT\$2,650.00: This implies 17.2x and 15.5x our new 2025 and 2026 EPS estimates, respectively.

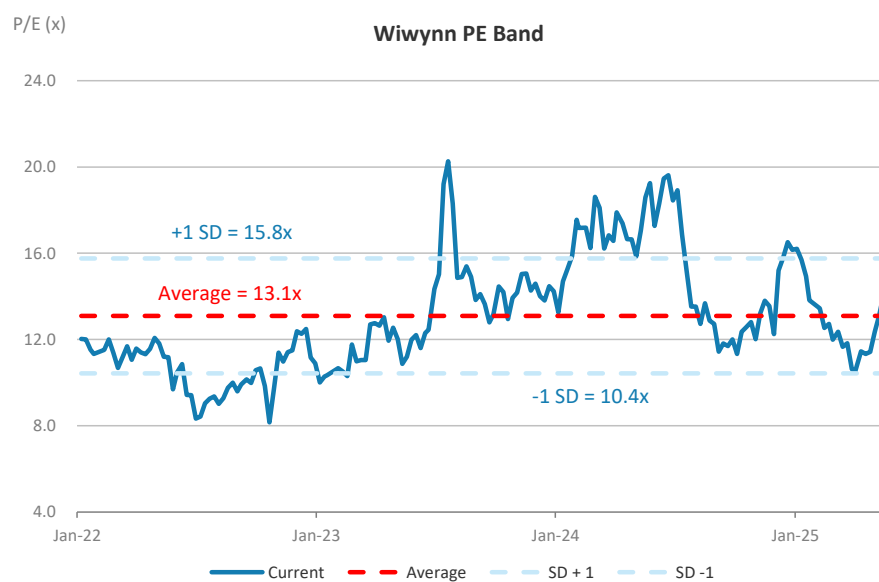
We continue to use a residual income model to derive our price target. Key assumptions (all unchanged) include a cost of equity of 7.2% (beta of 1.0, equity premium of 6% and risk-free rate of 1%), a medium-term growth rate of 8% and a terminal growth rate of 3%.

Our bull- and bear-case scenario values increase by similar magnitudes as the change in our price target (base-case scenario value) to NT\$3,540.00 and NT\$1,620.00, respectively.

Exhibit 17: Residual Income (RI) Model

	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Equity	103,851	119,363	134,668	159,455	184,392	210,077	236,533	263,782	291,849	320,757	350,533
Net Profit	28,959	32,244	33,943	36,658	37,758	38,891	40,058	41,259	42,497	43,772	45,085
Return on Equity	30.2%	28.9%	26.7%	24.9%	22.0%	19.7%	17.9%	16.5%	15.3%	14.3%	13.4%
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%	7.2%
Residual Income	20,214	22,484	23,256	23,819	23,475	23,009	22,475	21,887	21,253	20,577	19,863
Spread	22.9%	21.7%	19.5%	17.7%	14.7%	12.5%	10.7%	9.3%	8.1%	7.1%	6.2%
Beginning Equity Capital	103,851										
PV of Forecast Period	155,659										
PV of Continuing Value	239,849										
Equity Value	499,359										
No. of Shares	180										
Projected Price	2,775.0										
Implied 2025 PE	17.2x										

Source: Morgan Stanley Research (E) estimates.

Exhibit 18: Wiyynn: P/E chart

Source: TEJ, Morgan Stanley Research estimates.

Financials

Exhibit 19: Quarterly Estimates

	1Q24	2Q24	3Q24	4Q24	1Q25P	2Q25E	3Q25E	4Q25E	2024	2025E	2026E	2027E
Net sales	69,628	77,481	97,818	115,614	170,655	164,155	154,241	143,547	360,541	632,598	791,678	889,222
COGS	(61,923)	(69,091)	(87,386)	(104,740)	(155,806)	(150,608)	(142,581)	(133,360)	(323,141)	(582,356)	(734,982)	(828,099)
Gross profit	7,705	8,389	10,432	10,874	14,849	13,547	11,660	10,186	37,400	50,243	56,696	61,123
Operating expenses	(1,849)	(2,183)	(2,527)	(2,743)	(2,869)	(2,971)	(3,091)	(3,234)	(9,301)	(12,164)	(14,360)	(16,525)
SG&A	(647)	(799)	(1,081)	(730)	(1,290)	(1,313)	(1,350)	(1,406)	(3,258)	(5,358)	(6,731)	(7,882)
R&D	(1,201)	(1,384)	(1,446)	(2,013)	(1,579)	(1,658)	(1,741)	(1,828)	(6,044)	(6,806)	(7,629)	(8,643)
Operating income	5,857	6,207	7,905	8,131	11,981	10,576	8,569	6,953	28,099	38,079	42,336	44,598
Non-operating income	46	0	34	651	543	(466)	(466)	(466)	724	(855)	(1,064)	(1,064)
Interest income	(110)	(180)	121	147	(450)	(450)	(450)	(450)	(23)	(1,799)	(1,799)	(1,799)
Investment income	(22)	(17)	(8)	(21)	(16)	(16)	(16)	(16)	(68)	(64)	(64)	(64)
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	164	191	(109)	448	0	0	0	0	693	0	0	0
Other	13	7	31	78	1,009	0	0	0	122	1,009	800	800
Pre-tax income	5,902	6,207	7,939	8,782	12,523	10,110	8,103	6,487	28,822	37,224	41,272	43,534
Income tax	(1,195)	(1,513)	(1,611)	(1,735)	(2,730)	(2,528)	(1,645)	(1,362)	(6,054)	(8,264)	(9,029)	(9,591)
Minority interest	0	0	0	0	0	0	0	0	0	0	0	0
Net income	4,707	4,694	6,328	7,047	9,793	7,583	6,459	5,125	22,768	28,959	32,244	33,943
Adj.wtd.avg.shrs (mn)	175	175	184	180	180	180	180	180	180	180	180	180
EPS	26.92	26.85	34.36	39.16	54.42	42.14	35.89	28.48	126.53	160.93	179.18	188.63
Fully Diluted shares (mn)	175	175	184	180	180	180	180	180	180	180	180	180
Diluted EPS (NT\$)	26.92	26.84	34.36	39.16	54.42	42.14	35.89	28.48	126.53	160.93	179.18	188.63
Margins (%)												
Gross Margin	11.1	10.8	10.7	9.4	8.7	8.3	7.6	7.1	10.4	7.9	7.2	6.9
Operating Margin	8.4	8.0	8.1	7.0	7.0	6.4	5.6	4.8	7.8	6.0	5.3	5.0
Pretax Margin	8.5	8.0	8.1	7.6	7.3	6.2	5.3	4.5	8.0	5.9	5.2	4.9
Net Margin	6.8	6.1	6.5	6.1	5.7	4.6	4.2	3.6	6.3	4.6	4.1	3.8
QoQ Growth (%)												
Sales	19	11	26	18	48	-4	-6	-7				
Gross Profit	19	9	24	4	37	-9	-14	-13				
Operating Profit	26	6	27	3	47	-12	-19	-19				
Pretax Profit	32	5	28	11	43	-19	-20	-20				
Net Profit	34	0	35	11	39	-23	-15	-21				
YoY Growth (%)												
Sales	-6	38	85	97	145	112	58	24	49	75	25	12
Gross Profit	25	69	106	68	93	61	12	-6	65	34	13	8
Operating Profit	31	78	143	75	105	70	8	-14	77	36	11	5
Pretax Profit	42	74	143	97	112	63	2	-26	87	29	11	5
Net Profit	43	79	142	101	108	62	2	-27	89	27	11	5

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 20: Consolidated Financial Summary

Consolidated Income Statement					Consolidated Cash Flow Statement				
NT\$m (Year End Dec 31)	2024	2025E	2026E	2027E	NT\$m (Year End Dec 31)	2024	2025E	2026E	2027E
Net sales	360,541	632,598	791,678	889,222	Operating Cashflow	(19,993)	(11,321)	12,995	24,205
COGS	(323,141)	(582,356)	(734,982)	(828,099)	Net Profits	22,768	28,959	32,244	33,943
Gross profit	37,400	50,243	56,696	61,123	Depreciation & Amort.	2,005	2,005	5,502	5,390
Operating expenses	(9,301)	(12,164)	(14,360)	(16,525)	Investment losses/(income)	(8)	64	64	64
Operating income	28,099	38,079	42,336	44,598	Working capital change	20,373	(41,221)	(24,155)	(14,788)
Non-operating income	724	(855)	(1,064)	(1,064)	Other adjustments	(65,117)	(1,127)	(659)	(404)
Interest income	(23)	(1,799)	(1,799)	(1,799)	Investing Cashflow	(5,655)	(17,993)	(4,991)	(4,990)
Investment income	(68)	(64)	(64)	(64)	Capex	(4,891)	(18,000)	(5,000)	(5,000)
Disposal of investment	-	-	-	-	Change of L/T investment	0	0	0	0
Exchange gain	693	-	-	-	Change of S/T investment	(581)	0	0	0
Other	122	1,009	800	800	Other adjustments	(187)	0	0	0
Pre-tax income	28,822	37,224	41,272	43,534	Financing Cashflow	36,316	5,196	(5,937)	(12,043)
Income tax	(6,054)	(8,264)	(9,029)	(9,591)	Increase in L/T debt	16,945	0	0	0
Minority interests	-	-	-	-	Increase in S/T debt	940	0	0	0
Net income	22,768	28,959	32,244	33,943	Issuance of stock	27,068	(59)	0	0
Adj. wtd. Avg. shrs (m)	180	180	180	180	Cash dividends	(7,343)	(13,316)	(16,796)	(18,701)
Reported EPS (NT\$)	126.53	160.93	179.18	188.63	Other adjustments	(1,294)	18,571	10,859	6,659
Diluted shrs (m)	180	180	180	180	FX adjustment	166	0	0	0
Diluted EPS (NT\$)	126.53	160.93	179.18	188.63	Net change in cash	10,834	(24,117)	2,067	7,172

Consolidated Balance Sheet					Consolidated Financial Ratios				
NT\$m (Year End Dec 31)	2024	2025E	2026E	2027E		2024	2025E	2026E	2027E
Cash	48,329	24,211	26,278	33,450	Margins (%)				
Mkt securities	-	-	-	-	Gross margin	10.4	7.9	7.2	6.9
AR/NR	37,649	66,058	82,669	92,855	Operating margin	7.8	6.0	5.3	5.0
Inventory	86,211	155,368	196,087	220,930	Pretax margin	8.0	5.9	5.2	4.9
Others	1,494	2,622	3,281	3,685	Net margin	6.3	4.6	4.1	3.8
Current Assets	173,683	248,258	308,316	350,921	YoY growth (%)				
Long-term investments	709	709	709	709	Sales	49.0	75.5	25.1	12.3
Fixed assets	9,163	25,152	24,641	24,241	Operating profits	77.1	35.5	11.2	5.3
Other assets	7,124	7,124	7,124	7,124	Pretax profits	86.7	29.1	10.9	5.5
Total Assets	190,679	281,243	340,789	382,994	Net profits	89.1	27.2	11.3	5.3
S/T borrowings	6,125	6,125	6,125	6,125	Others				
AP/NP	53,585	96,570	121,880	137,321	Cash dividend payout (%)	58%	58%	58%	58%
Other ST liabilities	16,654	30,014	37,880	42,679	Cash div (NT\$)	74.00	93.34	103.93	109.40
Total Current Liabilities	76,364	132,709	165,885	186,125	Yield (%)	3%	4%	5%	5%
L/T debt	1,500	1,500	1,500	1,500	Net Debt/Equity (%)	-46%	-16%	-16%	-19%
Other LT liabilities	24,612	43,183	54,042	60,701	Liabilities/Equity (%)	116%	171%	186%	184%
Total Liabilities	102,476	177,392	221,427	248,326	Liabilities/Assets (%)	54%	63%	65%	65%
Common shares	1,858	1,799	1,799	1,799	ROAE (%)	35%	30%	29%	27%
Retained Earnings	43,622	59,329	74,840	90,146	ROAA (%)	16%	12%	10%	9%
Other SH' Equity	42,723	42,723	42,723	42,723	AR/NR Turnover (days)	24	30	34	36
Total Shareholders' Equity	88,203	103,851	119,363	134,668	Inventory Turnover (days)	66	76	87	92
Total Liab./SH's Equity	190,679	281,243	340,789	382,994	AP/NP Turnover (days)	42	47	54	57
					Cash conversion cycle	48	59	67	71

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Wiwynn Corp (6669.TW)

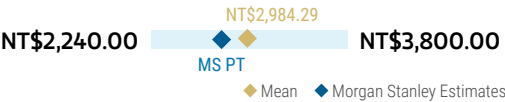
OW on dual AI engines from ASIC and GPU AI servers

PRICE TARGET NT\$2,775.00

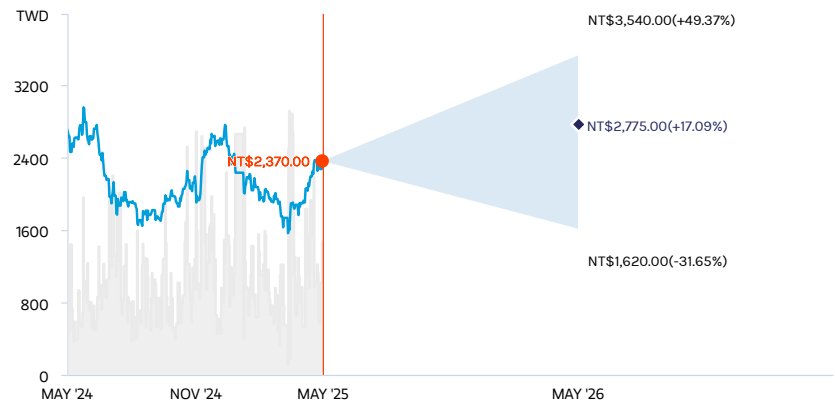
Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 7.2% (beta of 1.0, equity premium of 6% and risk-free rate of 1%), medium-term growth rate of 8% and terminal growth rate of 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



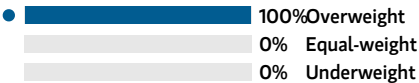
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We believe Wiwynn will benefit from rising AI server demand in 2025-26, although it is a latecomer. We expect Wiwynn to benefit from both ASIC and GPU AI server demand.
- General server demand came in better than expected in 2024, and we continue to think Wiwynn could outgrow the market (market is at mid-single-digit y/y growth for 2025) due to share gains as competitors prioritize AI servers.
- We find the stock undervalued; our price target implies ~17x 2025e P/E and ~15.5x 2026e P/Es vs. the three-year historical 8-20x range.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Negative
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$3,540.00

22x 2025e EPS

Data center builds accelerate: Assumes geopolitical tensions diminish, with macro data picking up, and accelerating data center builds from hyperscale vendors such as Meta, Microsoft and Amazon, leading to further demand upside for general computing servers and AI servers alike.

BASE CASE

NT\$2,775.00

17x 2025e EPS

Based on our analysis, we now expect AI servers to account for 40-50% of revenue in 2026, from 20-30% in 2024, as Wiwynn ramps up its AI server shipments.

BEAR CASE

NT\$1,620.00

10x 2025e EPS

Data center builds get pushed out: Assumes geopolitical tensions escalate, with macro data deteriorating, driving hyperscale vendors such as Meta and Microsoft to push out their data center builds, which leads to further demand downside for both general computing servers and AI servers.

Risk Reward – Wiwynn Corp (6669.TW)

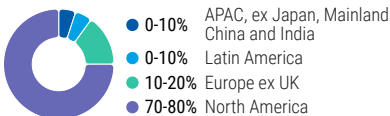
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
Rack shipment y/y (%)	31.6	38.3	4.2	4.9
FB market share (%)	21.7	13.4	13.1	13.2
MSFT market share (%)	13.3	9.8	9.8	9.5

INVESTMENT DRIVERS

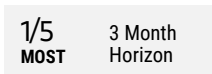
- Monthly revenue
- Supplier share allocation
- Server units per rack

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS



Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Accelerated demand pull-in from Meta, Microsoft and Amazon
- Project wins from new customers
- Share gain
- Edge computing projects
- Accelerated AI server penetration

RISKS TO DOWNSIDE

- Delayed data center builds from Meta, Microsoft and Amazon
- Server demand slowdown
- Share loss
- Delayed AI server penetration

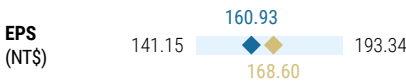
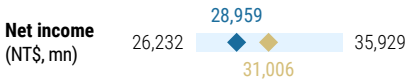
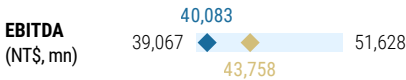
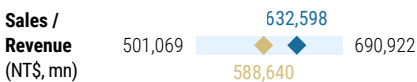
OWNERSHIP POSITIONING



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Quanta: Earnings Estimate Changes

Our 2025-27 EPS estimates increase 3% each, as we factor in higher AI server shipments assumptions (higher top lines but lower margins).

Exhibit 21: Earnings Estimate Changes

Year to Dec. 31 (NT\$m)	2025E			2026E			2027E		
	New	Old	% diff	New	Old	% diff	New	Old	% diff
P&L Summary									
Net sales	2,597,759	2,444,159	6%	2,868,781	2,702,861	6%	3,065,240	2,885,312	6%
COGS	(2,432,516)	(2,284,292)		(2,698,754)	(2,538,642)		(2,884,127)	(2,710,497)	
Gross profit	165,243	159,867	3%	170,026	164,219	4%	181,113	174,816	4%
Operating expenses	(65,568)	(63,024)		(66,354)	(63,865)		(69,242)	(66,543)	
Operating income	99,675	96,843	3%	103,672	100,354	3%	111,871	108,273	3%
Non-operating income	(1,992)	(1,992)		(354)	(354)		446	446	
Pretax income	97,683	94,851	3%	103,318	100,000	3%	112,317	108,719	3%
Income tax	(21,122)	(20,541)		(21,942)	(21,224)		(23,190)	(22,434)	
Minority interest	(639)	(639)		(671)	(671)		(704)	(704)	
Net income	75,922	73,671	3%	80,706	78,105	3%	88,423	85,580	3%
EPS (NT\$)	19.66	19.08	3%	20.90	20.22	3%	22.90	22.16	3%
Margins									
Gross margin	6.4%	6.5%		5.9%	6.1%		5.9%	6.1%	
Operating margin	3.8%	4.0%		3.6%	3.7%		3.6%	3.8%	
Pretax margin	3.8%	3.9%		3.6%	3.7%		3.7%	3.8%	
Net margin	2.9%	3.0%		2.8%	2.9%		2.9%	3.0%	

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

We raise our price target ~3% to NT\$335.00: This implies 17x our 2025 EPS estimate and 16x our 2026 EPS estimate, above the average of Quanta's five-year historical range of 6x to 20x. We view this as fair because we expect Quanta to benefit from rising AI server and EV demand over the long term, driving mix improvements.

We continue to use a residual income model to derive our price target. Our key assumptions (all unchanged) include:

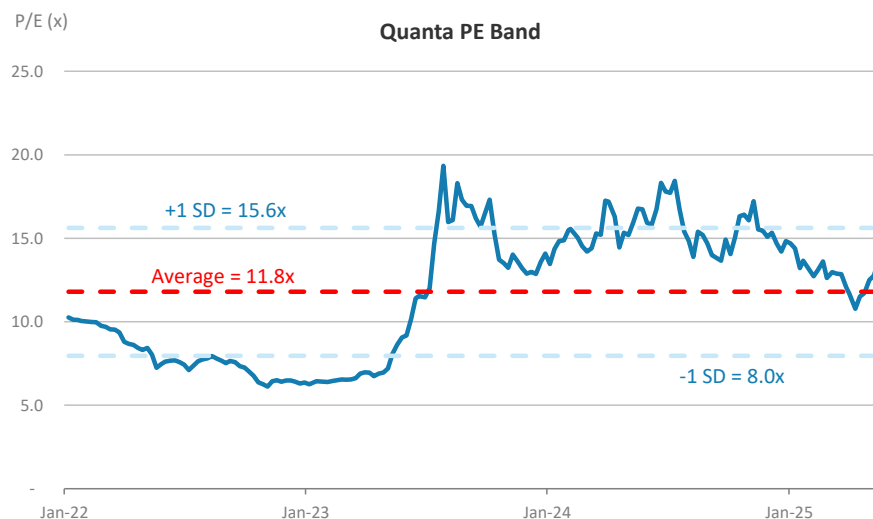
- A cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%);
- An 8.5% medium-term growth rate; and
- A 3% terminal growth rate.

Our bull- and bear-case scenario values also increase ~3% each, to NT\$475.00 and NT\$200.00, respectively.

Exhibit 22: Residual Income (RI) Model

NT\$ mn	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Equity	268,854	309,017	353,451	393,684	437,336	484,698	536,087	591,843	652,339	717,977	789,194
Net Profit - post bonus	75,922	80,706	88,423	95,939	104,094	112,942	122,542	132,958	144,259	156,521	169,825
Return on Equity	30%	28%	27%	26%	25%	24%	24%	24%	23%	23%	23%
Beta	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Equity Risk Premium (Rm-Rf)	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Cost of Equity	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%
Beginning Equity Capital	268,854										
PV of Forecast Period	399,501										
PV of Continuing Value	625,329										
Equity Value	1,293,683										
No. of Shares	3,862										
Projected Price (EoY)	335.0										
Implied 2025 P/E	17.0x										

Source: Morgan Stanley Research (E) estimates.

Exhibit 23: Quanta's Three-year P/E Chart

Source: TEJ, Morgan Stanley Research (E) estimates.

Financials

Exhibit 24: Quarterly Earnings Estimates

NT\$m	1Q24	2Q24	3Q24	4Q24	1Q25P	2Q25E	3Q25E	4Q25E	2024	2025E	2026E	2027E
Net sales	258,939	309,954	424,549	417,313	485,672	592,076	725,540	794,471	1,410,756	2,597,759	2,868,781	3,065,240
COGS	(236,990)	(283,345)	(393,424)	(386,236)	(447,189)	(553,849)	(682,903)	(748,575)	(1,299,996)	(2,432,516)	(2,698,754)	(2,884,127)
Gross profit	21,950	26,609	31,125	31,077	38,483	38,227	42,637	45,896	110,760	165,243	170,026	181,113
Operating expenses	(10,252)	(11,401)	(11,567)	(15,918)	(13,883)	(15,894)	(17,172)	(18,618)	(49,138)	(65,568)	(66,354)	(69,242)
SG&A, R&D exp.	(10,252)	(11,401)	(11,567)	(15,918)	(13,883)	(15,894)	(17,172)	(18,618)	(49,138)	(65,568)	(66,354)	(69,242)
Employee bonus	-	-	-	-	-	-	-	-	0	0	0	0
Operating income	11,698	15,208	19,557	15,159	24,600	22,333	25,465	27,278	61,622	99,675	103,672	111,871
Non-operating income	2,833	4,394	1,719	2,598	669	(983)	(983)	(694)	11,545	(1,992)	(354)	446
Interest income	1,008	1,396	(240)	290	(1,001)	(1,483)	(1,483)	(1,194)	2,454	(5,162)	(2,354)	(1,554)
Investment income	(7)	(14)	(13)	(6)	-	-	-	-	(39)	0	0	0
Disposal of investment	-	-	-	-	-	-	-	-	0	0	0	0
Exchange gain	1,286	1,606	1,820	1,766	2,075	-	-	-	6,477	2,075	0	0
Other	546	1,406	153	548	(405)	500	500	500	2,653	1,095	2,000	2,000
Pre-tax income	14,531	19,602	21,276	17,757	25,269	21,349	24,481	26,584	73,167	97,683	103,318	112,317
Income tax	(2,301)	(4,320)	(4,552)	(1,711)	(5,572)	(5,337)	(4,896)	(5,317)	(12,884)	(21,122)	(21,942)	(23,190)
Minority interest	(162)	(155)	(91)	(173)	(199)	(162)	(96)	(182)	(581)	(639)	(671)	(704)
Net income	12,068	15,128	16,633	15,873	19,498	15,850	19,489	21,085	59,702	75,922	80,706	88,423
Adj. wtd. avg. shrs (mn)	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862
EPS (NT\$)	3.12	3.92	4.31	4.11	5.05	4.10	5.05	5.46	15.46	19.66	20.90	22.90
Fully Diluted shares (mn)	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862
Diluted EPS (NT\$)	3.12	3.92	4.31	4.11	5.05	4.10	5.05	5.46	15.46	19.66	20.90	22.90
Margins (%)												
Gross Margin	8.5	8.6	7.3	7.4	7.9	6.5	5.9	5.8	7.9	6.4	5.9	5.9
Operating Margin	4.5	4.9	4.6	3.6	5.1	3.8	3.5	3.4	4.4	3.8	3.6	3.6
Pretax Margin	5.6	6.3	5.0	4.3	5.2	3.6	3.4	3.3	5.2	3.8	3.6	3.7
Net Margin	4.7	4.9	3.9	3.8	4.0	2.7	2.7	2.7	4.2	2.9	2.8	2.9
QoQ Growth (%)												
Sales	(10)	20	37	(2)	16	22	23	10				
Gross Profit	(5)	21	17	(0)	24	(1)	12	8				
Operating Profit	(1)	30	29	(22)	62	(9)	14	7				
Pretax Profit	15	35	9	(17)	42	(16)	15	9				
Net Profit	17	25	10	(5)	23	(19)	23	8				
YoY Growth (%)												
Sales	(3)	26	48	45	88	91	71	90	30	84	10	7
Gross Profit	25	27	34	34	75	44	37	48	30	49	3	7
Operating Profit	49	35	55	28	110	47	30	80	41	62	4	8
Pretax Profit	63	36	36	40	74	9	15	50	41	34	6	9
Net Profit	86	49	30	54	62	5	17	33	50	27	6	10

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 25: Consolidated Financial Summary

Consolidated Income Statement

NT\$m (Year End Dec)	2024	2025E	2026E	2027E
Net sales	1,410,756	2,597,759	2,868,781	3,065,240
COGS	(1,299,996)	(2,432,516)	(2,698,754)	(2,884,127)
Gross profit	110,760	165,243	170,026	181,113
Operating expenses	(49,138)	(65,568)	(66,354)	(69,242)
Operating income	61,622	99,675	103,672	111,871
Non-operating income	11,545	(1,992)	(354)	446
Interest income, net	2,454	(5,162)	(2,354)	(1,554)
Investment income	(39)	-	-	-
Exchange gain	6,477	2,075	-	-
Other	2,653	1,095	2,000	2,000
Pre-tax income	73,167	97,683	103,318	112,317
Income tax	(12,884)	(21,122)	(21,942)	(23,190)
Minority interests	(581)	(639)	(671)	(704)
Net income	59,702	75,922	80,706	88,423
Reported EPS (NT\$)	15.46	19.66	20.90	22.90
Fully-diluted EPS (NT\$)	15.46	19.66	20.90	22.90

Consolidated Cash Flow Statement

NT\$m (Year End Dec)	2024	2025E	2026E	2027E
Operating CF	(35,330)	(61,560)	61,039	79,115
Net Profits	60,283	75,922	80,706	88,423
Depreciation & Amort.	11,678	13,714	14,732	15,750
Change in WC	363,920	(294,161)	(67,041)	(48,719)
Other adjustments	(471,212)	142,965	32,642	23,662
Investing CF	(12,290)	(20,000)	(10,000)	(10,000)
Change of FA (Capex)	(12,304)	(20,000)	(10,000)	(10,000)
Change of L/T invest.	91	-	-	-
Other adjustments	(77)	-	-	-
Financing CF	28,917	73,886	(24,016)	(35,140)
Increase in L/T debt	68,806	12,844	2,419	1,575
Increase in S/T debt	(3,117)	103,877	19,569	12,736
Issuance of stock	-	-	-	-
Cash dividends	(34,691)	(37,366)	(40,543)	(43,989)
Other adjustments	(2,081)	(5,469)	(5,462)	(5,462)
FX adjust.	5,462	5,462	5,462	5,462
Net change in cash	(13,242)	(2,213)	32,484	39,437

Consolidated Balance Sheet

NT\$m (Year End Dec)	2024	2025E	2026E	2027E
Cash	163,992	161,779	194,264	233,701
Mkt securities	37,107	37,107	37,107	37,107
A/R	371,246	683,610	754,930	806,630
Inventory	261,886	490,035	543,669	581,012
Others	6,463	11,901	13,142	14,042
Current Assets	840,694	1,384,432	1,543,112	1,672,492
Long-term investments	7,903	7,903	7,903	7,903
Fixed assets	67,061	73,347	68,615	62,865
Other assets	16,789	16,789	16,789	16,789
Total Assets	932,446	1,482,470	1,636,418	1,760,048
S/T borrowings	179,540	283,417	302,986	315,722
AP/NP	282,782	529,134	587,047	627,371
Other ST liabilities	176,377	324,779	358,663	383,225
Total current liabilities	638,699	1,137,330	1,248,697	1,326,317
L/T debt	22,199	35,042	37,462	39,036
Other LT liabilities	41,243	41,243	41,243	41,243
Total Liabilities	702,141	1,213,616	1,327,402	1,406,597
Common shares	38,626	38,619	38,619	38,619
Retained Earnings	126,767	165,322	205,485	249,919
Other SH equity	64,913	64,913	64,913	64,913
Shareholders' equity	230,306	268,854	309,017	353,451
Total Liab./SE	932,446	1,482,470	1,636,418	1,760,048

Consolidated Financial Ratios

NT\$m (Year End Dec)	2024	2025E	2026E	2027E
Margins (%)				
Gross margin	7.9	6.4	5.9	5.9
Operating margin	4.4	3.8	3.6	3.6
Pretax margin	5.2	3.8	3.6	3.7
Net margin	4.2	2.9	2.8	2.9
YoY growth (%)				
Sales	30	84	10	7
Operating profits	41	62	4	8
Pretax profits	41	34	6	9
Net profits	50	27	6	10
Others				
Cash div payout	58%	80%	80%	80%
Adjusted cash div (NT\$)	8.9	8.9	9.7	10.5
Yield	12%	12%	13%	14%
Net Debt/Equity	0%	44%	35%	24%
Liabilities/Equity	305%	451%	430%	398%
Liabilities/Assets	75%	82%	81%	80%
ROAE	28%	30%	28%	27%
ROAA	7%	6%	5%	5%
AR/NR days	82	74	92	93
Inventory days	54	56	70	71
AP/NP days	63	61	75	77
Cash conversion	72	70	86	87

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Quanta Computer Inc. (2382.TW)

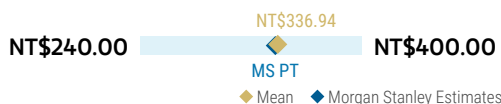
AI server growth story remains intact; OW

PRICE TARGET NT\$335.00

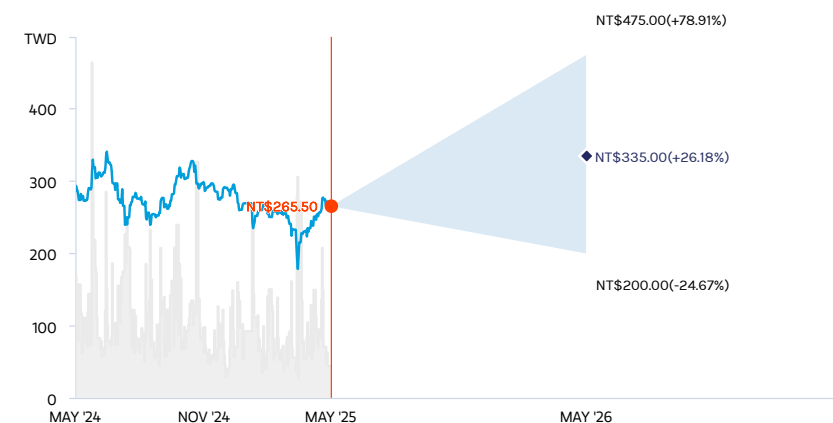
Base case, residual income model. Key assumptions include a cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%), an 8.5% medium-term growth rate and a 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



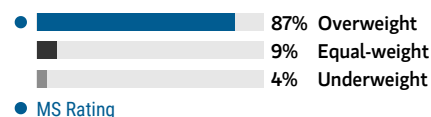
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect PC shipments to normalize at above pre-COVID levels in 2025 in view of the larger installed base and mix shift toward more mobile NB.
- We also expect Quanta to benefit from rising AI server demand over the longer term, given its design capability and close relationship with global cloud customers. GB200 shipments kicked off in late 1Q25 and should continue to ramp in 2Q.
- Auto/EV is more of a long-term growth driver for Quanta. Management expects auto/EV to be only flattish y/y in 2025, in view of near-term demand headwinds and tariff uncertainties.
- Our price target implies 17x 2025e EPS, which we consider fair vs. its three-year historical range of 6x to 20x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$475.00

24x 2025e EPS

Strong sales growth with margin expansion: We forecast a total sales CAGR of 50-55% for 2024-27, boosted by even stronger data center sales growth and NB demand. We project operating profit margin to reach ~6% by 2025, up from 4.4% in 2024.

BASE CASE

NT\$335.00

17x 2025e EPS

Strong growth in 2025-26 driven by AI server sales: We forecast a total sales CAGR of 30% for 2024-27, with data centers seeing 40-50% growth after incorporating AI server assumptions (60-70% CAGR), and NB rising low-single digits. We project operating profit margin will fall to 3.8% in 2025 and 3.6% in 2026 (AI servers are margin-dilutive) vs. 4.4% in 2024.

BEAR CASE

NT\$200.00

10x 2025e EPS

Sales decline with margin contraction: We project total sales at a negative CAGR over 2024-27, owing to worse-than-expected NB weakness plus softer data center and Apple Watch-related sales. We see operating profit margin falling to ~2.0% in 2025-26, from 4.4% in 2024.

Risk Reward – Quanta Computer Inc. (2382.TW)

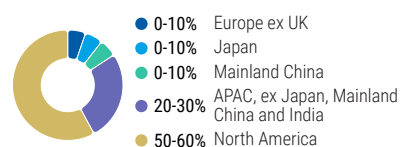
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
NB shipment y/y (%)	(2.1)	(0.2)	3.5	2.8
Data center hardware revenue y/y (%)	0.4	13.2	8.4	6.0
NB OPM (%)	3.5	3.5	3.5	3.7
Data center hardware OPM (%)	7.9	9.6	9.5	9.5

INVESTMENT DRIVERS

- Data center hardware demand growth
- Margin performance
- Apple Watch business profitability
- Non-Apple NB shipment strength
- MacBook demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected NB demand
- Stronger-than-expected Apple Watch demand
- Stronger-than-expected server demand
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Weaker-than-expected NB demand
- Softer-than-expected Apple Watch demand
- Weak margin performance owing to rising labor costs and sales shortfalls
- Fierce price competition in the mega data center segment
- Slower-than-expected AI server penetration

OWNERSHIP POSITIONING

Inst. Owners, % Active **65.3%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (NT\$, mn) 1,829,284 **2,224,827** **2,597,759**

EBITDA (NT\$, mn) 89,268 **101,542** **113,389**

Net income (NT\$, mn) 62,187 **70,901** **75,922**

EPS (NT\$) 15.95 **18.32** **19.66**

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Asustek: Price Target Discussion and Valuation Methodology

We keep our price target at NT\$615 and remain EW: We continue to derive our price target from sum-of-the-parts valuation.

Core business: We apply a 12x multiple (unchanged) to Asustek's brand profits. This is only slightly higher than the average of its historical band of 7-15x since 2009. We view this as fair because we have seen its PC business inflecting upward from the lows in 2023, but a major PC replacement cycle driven by Win10 EoS (in Oct-25) and AI PC adoption will likely be elongated without meaningful demand upside due to increasing macro uncertainties and consumer/enterprise spending cuts.

Pegatron (4938.TW): Our valuation is based on a price target of NT\$72 (unchanged) in proportion to Asustek's holding (17.2%). Our price target for Pegatron is derived from SOTP valuation.

Advantech (2395.TW; covered by Derrick Yang): Our valuation is based on Morgan Stanley analyst Derrick Yang's price target of NT\$400 (unchanged) in proportion to Asustek's holding (14.4%). Advantech's price target is derived from P/E valuation.

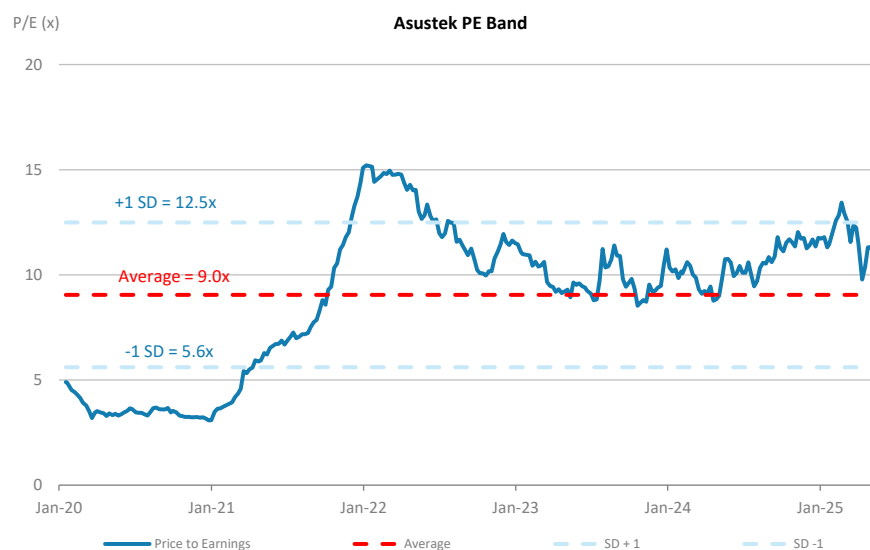
Our price target implies ~12x 2025e P/E. To understand how the current valuation compares to the past, we also look at Asustek's historical valuation trend. Excluding numbers from 2018 that were distorted by restating, Asustek stock has traded in a P/E range of 4x to 16x. It is currently trading at 11.4x, above the average of its five-year historical range, reflecting a belief that PC demand bottomed in 2023 but growth into 2025-26 will likely be benign due to weaker consumer spending in an unfavorable macro-environment. As for P/B, the shares are trading at 1.6x 2025e and 1.5x 2026e, still above the average of ~0.8x since 2010.

Our bull and bear case values for Asustek are also unchanged at NT\$1,195 and NT\$355, respectively.

Exhibit 26: Asustek: SOTP

Asustek - SOTP	
NT\$mn	2025e
Core business	
Asustek core business profit	31,989
Applied multiples	12x
Market capitalization - (1)	380,191
Pegatron	
Pegatron price target (NT\$)	72.00
Asustek's holdings of Pegatron (mn shares)	449
Market capitalization - (2)	32,331
Advantech	
Advantech price target (NT\$)	400.00
Asustek's holdings of Advantech (mn shares)	111
Market capitalization - (3)	44,310
Asustek SOTP market value - (1) + (2) + (3)	456,833
Asustek avg. diluted O/S (mn shrs)	743
Asustek share price NT\$	615

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 27: Asustek P/E band

Source: TEJ, Morgan Stanley Research estimates.

Financials

Exhibit 28: Quarterly Earnings Estimates

NT\$m	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E	2024	2025E	2026E	2027E
Net sales	114,106	136,260	156,743	141,426	135,188	159,927	175,978	166,743	548,535	637,836	693,730	789,417
COGS	(97,153)	(111,376)	(129,910)	(118,811)	(114,213)	(134,370)	(148,440)	(141,229)	(457,250)	(538,252)	(586,972)	(671,371)
Gross profit	16,953	24,884	26,833	22,615	20,975	25,557	27,538	25,514	91,285	99,583	106,758	118,046
Operating expenses	(12,317)	(14,200)	(15,696)	(21,622)	(9,526)	(16,768)	(17,929)	(16,341)	(63,835)	(60,564)	(67,144)	(73,532)
R&D	(2,054)	(2,521)	(2,900)	(2,334)	(2,433)	(2,959)	(3,080)	(2,751)	(9,808)	(11,223)	(12,191)	(13,872)
Employee bonus	-	-	-	-	-	-	-	-	-	-	-	-
Operating income	4,636	10,684	11,137	993	11,449	8,788	9,609	9,173	27,450	39,020	39,613	44,514
Non-operating income	1,666	4,005	4,054	1,279	3,762	1,000	4,041	1,000	11,004	9,803	7,193	7,352
Interest Income(Expenses)	694	682	357	720	749	500	500	500	2,453	2,249	2,000	2,000
Investment Income(Loss)	286	668	566	1,026	1,443	400	400	400	2,546	2,643	1,600	1,600
Gain (Loss) on Disposal of Investment	-	-	-	-	-	-	-	-	-	-	-	-
Foreign Exchange Gain (Loss)	578	805	2,330	(658)	1,355	-	-	-	3,055	1,355	-	-
Others	95	44	(289)	191	207	100	100	100	41	507	400	400
Pre-tax income	6,302	14,689	15,191	2,272	15,211	9,788	13,650	10,173	38,454	48,822	46,806	51,866
Income tax	(855)	(2,885)	(2,687)	(634)	(2,421)	(2,394)	(2,552)	(1,955)	(7,061)	(9,322)	(9,454)	(10,552)
Minority interest paid (received)	-	-	-	-	-	-	-	-	-	-	-	-
Net income	5,447	11,804	12,504	1,638	12,790	7,394	11,098	8,218	31,393	39,500	37,353	41,314
Adj. wtd. avg. shrs (m)	743	743	743	743	743	743	743	743	743	743	743	743
EPS (NT\$)	7.33	15.89	16.83	2.21	17.22	9.96	14.94	11.06	42.27	53.18	50.29	55.62
Margins (%)												
Gross Margin	14.9	18.3	17.1	16.0	15.5	16.0	15.6	15.3	16.6	15.6	15.4	15.0
Operating Margin	4.1	7.8	7.1	0.7	8.5	5.5	5.5	5.5	5.0	6.1	5.7	5.6
Pretax Margin	5.5	10.8	9.7	1.6	11.3	6.1	7.8	6.1	7.0	7.7	6.7	6.6
Net Margin	4.8	8.7	8.0	1.2	9.5	4.6	6.3	4.9	5.7	6.2	5.4	5.2
QoQ Growth (%)												
Sales	2	19	15	(10)	(4)	18	10	(5)				
Gross Profit	(2)	47	8	(16)	(7)	22	8	(7)				
Operating Profit	98	130	4	(91)	1,053	(23)	9	(5)				
Pretax Profit	13	133	3	(85)	569	(36)	39	(25)				
Net Profit	39	117	6	(87)	681	(42)	50	(26)				
YoY Growth (%)												
Sales	11	27	24	26	18	17	12	18	22	16	9	14
Gross Profit	106	85	22	31	24	3	3	13	50	9	7	11
Operating Profit	(227)	776	32	(58)	147	(18)	(14)	824	229	42	2	12
Pretax Profit	(423)	507	14	(59)	141	(33)	(10)	348	98	27	(4)	11
Net Profit	(424)	356	13	(58)	135	(37)	(11)	402	97	26	(5)	11

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 29: Consolidated Financial Summary

Consolidated Brand Income Statement					Consolidated Brand Cash Flow Statement				
NT\$m (Year End Dec)	2024	2025E	2026E	2027E	NT\$m (Year End Dec)	2024	2025E	2026E	2027E
Net sales	548,535	637,836	693,730	789,417	Cashflow from operations	13,358	69,674	34,801	37,156
COGS	(457,250)	(538,252)	(586,972)	(671,371)	Net Profits	31,393	39,500	37,353	41,314
Gross profit	91,285	99,583	106,758	118,046	Depreciation & Amortization	1,184	1,184	1,184	1,184
Operating expenses	(63,835)	(60,564)	(67,144)	(73,532)	Equity invest. losses (income)	(2,546)	(2,643)	(1,600)	(1,600)
Operating income	27,450	39,020	39,613	44,514	Change in Working Capital	(27,974)	12,353	(14,203)	(24,401)
Non-operating income	11,004	9,804	7,195	7,355	Other adjustments	11,302	19,280	12,068	20,659
Interest income	2,453	2,249	2,000	2,000	Cashflow from investing	(944)	(2,643)	(1,600)	(1,600)
Interest Expenses	-	1	2	3	Change of FA (capex)	(1,196)	-	-	-
Investment income	2,546	2,643	1,600	1,600	Change of LT investment	(5,134)	(2,643)	(1,600)	(1,600)
Disposal of investment	-	-	-	-	Other adjustments	5,386	-	-	-
Disposal of fixed assets	-	-	-	-	Cashflow from financing	(8,432)	(28,312)	(25,730)	(28,503)
Exchange gain	3,055	1,355	-	-	Increase in L/T debt	-	-	-	-
Other	2,950	3,556	3,593	3,752	Increase in S/T debt	-	-	-	-
Pre-tax income	38,454	48,823	46,806	51,869	Proceed from new Issuance	-	-	-	-
Income tax	(7,061)	(9,322)	(9,454)	(10,552)	Cash Dividend paid	(12,627)	(29,771)	(26,147)	(28,920)
Minority interests	-	-	-	-	Other adjustments	4,195	1,459	416	416
Net income	31,393	39,501	37,355	41,317	Net change in cash	3,962	38,719	7,471	7,052
EPS for Consensus (NT\$)	42.27	53.18	50.29	55.62					

Consolidated Brand Balance Sheet					Consolidated Brand Financial Ratios				
NT\$m (Year End Dec)	2024	2025E	2026E	2027E		2024	2025E	2026E	2027E
Cash	70,381	109,100	116,571	123,623	Margins (%)				
Mkt securities	-	-	-	-	Gross margin	16.6	15.6	15.4	15.0
AR/NR	97,745	113,658	123,618	140,668	Operating margin	5.0	6.1	5.7	5.6
Inventory	141,803	125,346	136,692	156,347	Pretax margin	7.0	7.7	6.7	6.6
Others	21,570	25,082	27,279	31,042	Net margin	5.7	6.2	5.4	5.2
Current Assets	331,499	373,186	404,160	451,680	YoY growth (%)				
Long-term investments	128,580	131,223	132,823	134,423	Sales	22	16	9	14
Fixed assets	14,959	14,959	14,959	14,959	Operating profits	229	42	2	12
Other assets	26,234	26,234	26,234	26,234	Pretax profits	98	27	-4	11
Total Assets	501,272	545,602	578,176	627,296	Net profits	97	26	-5	11
S/T borrowings	-	-	-	-	Others				
AP/NP	66,661	78,470	85,573	97,877	Cash div payout ratio (%)	70	75	70	70
Other ST liabilities	140,000	162,792	177,057	201,479	Adjusted cash dividend (NT\$)	17.0	40.1	35.2	38.9
Total current liabilities	206,661	241,262	262,630	299,356	Yield (%)	4.5	10.7	9.4	10.4
L/T debt	-	-	-	-	Net Debt/Equity (%)	-26	-39	-40	-41
Other LT liabilities	25,071	25,071	25,071	25,071	Liabilities/Equity (%)	86	95	99	107
Total Liabilities	231,732	266,333	287,701	324,427	Liabilities/Assets (%)	46	49	50	52
Common shares	7,428	7,428	7,428	7,428	ROAE (%)	12	14	13	14
Retained Earnings	191,776	201,505	212,710	225,105	ROAA (%)	7	8	7	7
Other SH Equity	70,336	70,336	70,336	70,336	AR/NR Turnover (days)	60	60	62	61
Shareholders' equity	269,540	279,269	290,475	302,869	Inventory Turnover (days)	103	91	81	80
Total Liab./SH Equity	501,272	545,602	578,176	627,296	AP/NP Turnover (days)	48	49	51	50
					Cash conversion cycle (days)	115	102	93	91

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Asustek Computer Inc. (2357.TW)

Macro uncertainties to weigh on end demand; stay EW

PRICE TARGET NT\$615.00

Base case, sum of the parts:

We apply a 12x multiple to Asustek's 2025 brand profits. This is only slightly higher than the average of its historical band of 7-15x since 2009, which we view as fair because we see its PC business inflecting upward from the lows in 2023, but a major PC replacement cycle will likely be elongated.

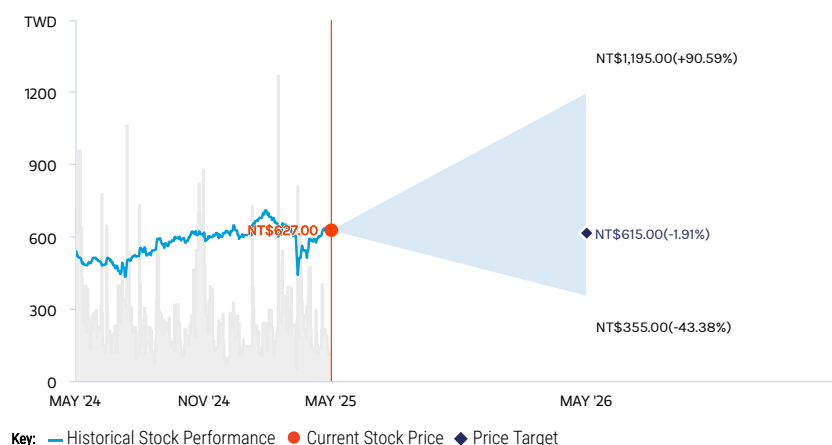
We value its stakes in Pegatron and Advantech based on our PTs in proportion to Asustek's holdings.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

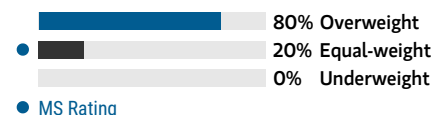
■ The overall PC market likely bottomed in 2023, but policy uncertainties are leading to consumer spending cuts and weaker end demand.

■ Asustek is investing heavily in its server business, which could help drive revenue and profit growth. In 4Q24, servers were a high-single-digit percentage of the revenue mix, within which AI servers make up 80-90%.

■ Asustek is reducing focus on its loss-making smartphone business and shifting resources to its server business, which we view positively.

■ Our PT of NT\$615 implies ~12x our 2025 EPS estimate. We think the PC cycle bottomed and see growth stemming from AI PCs and AI servers, but near-term macro uncertainties will likely weigh on end demand.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

Pricing Power: *Negative*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$1,195.00

22x 2025e EPS

NB shipments up double digits y/y in 2025, ROG Ally sells over 2.5mn units, and AI server shipments reach 18k+: Strong shipments across the board support strong operating margin expansion to 8-10% in 2025. We also expect Asustek to penetrate further into the commercial PC market, where it currently has slight exposure.

BASE CASE

NT\$615.00

12x 2025e EPS

NB shipments rise 4% y/y in 2025, ROG Ally reaches ~0.7mn units, and AI servers reach 7.5k units: This drives operating margin to improve slightly to 6.1% in 2025, from 5.0% in 2024.

BEAR CASE

NT\$355.00

7x 2025e EPS

NB shipments decline more than 15% y/y in 2025, ROG Ally sells less than 0.5mn units, and AI servers sell less than 6k units: Operating margin declines to 2-3% in 2025, from 5.0% in 2024.

Risk Reward – Asustek Computer Inc. (2357.TW)

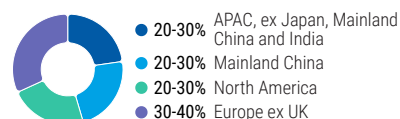
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
NB shipment y/y (%)	7.2	4.1	1.8	3.3
NB OPM (%)	4.2	2.4	2.8	2.8
Smartphone shipment y/y (%)	(1.7)	(4.7)	8.5	8.0
Smartphone OPM (%)	(24.0)	(21.0)	(10.0)	(10.0)

INVESTMENT DRIVERS

- PC demand and competition
- Chromebook demand and competition
- Smartphone demand and competition

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger global NB demand
- Stronger AI server demand
- Stronger ROG Ally demand
- Better margin recovery
- Faster profit improvement in smartphone and/or tablet PC businesses

RISKS TO DOWNSIDE

- Weaker global NB demand
- Weaker AI server demand
- Weaker ROG Ally demand
- Slower margin recovery
- Larger losses from smartphone and/or tablet PC businesses

OWNERSHIP POSITIONING

Inst. Owners, % Active 65.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2025e

Sales / Revenue (NT\$, mn) 636,814 **637,836** 720,442
669,438

EBITDA (NT\$, mn) 38,855 **40,203** 57,282
44,353

Net income (NT\$, mn) 32,542 **39,500** 45,136
39,676

EPS (NT\$) 48.07 **53.18** 60.77
53.98

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Giga-Byte: Price Target and Valuation Methodology

Our price target (base case scenario value) is unchanged at NT\$350: We continue to use a residual income model to derive our price target. Our key assumptions (all unchanged) include a cost of equity of 7.3% (beta of 1.0, equity risk premium of 6%, risk-free rate of 1.0%), a medium-term growth rate of 6%, and a terminal growth rate of 3%.

Our price target implies ~15.8x 2025e P/E, above the average of Giga-Byte's three-year trading range of 7x to 27x. We think this is fair due to rising AI server demand seen over the long term, which should support mix improvement and drive enhanced order sustainability and visibility (vs. the consumer segment).

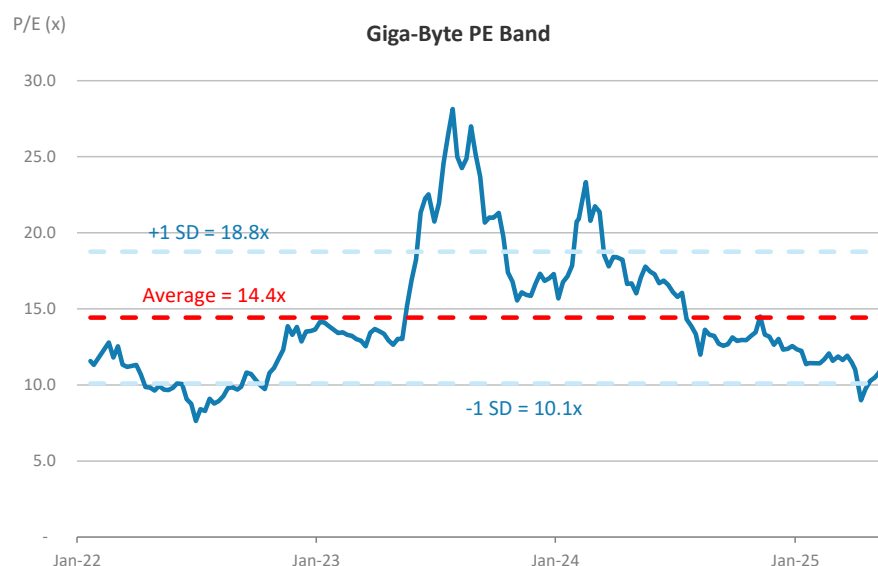
Our bull and bear case values are also unchanged at NT\$508 and NT\$185, respectively.

Exhibit 30: Residual income (RI) model

	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Total Equity	60,908	63,830	66,477	78,075	89,872	102,024	114,539	127,431	140,709	154,385	168,471
Net Profit	14,383	15,205	15,631	16,569	17,066	17,578	18,106	18,649	19,208	19,785	20,378
Return on Equity	24.8%	24.4%	24.0%	22.9%	20.3%	18.3%	16.7%	15.4%	14.3%	13.4%	12.6%
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%	7.3%
Residual Income	9,656	10,421	10,673	10,407	10,191	9,931	9,642	9,328	8,993	8,638	8,265
Spread	17.5%	17.1%	16.7%	15.7%	13.1%	11.1%	9.5%	8.1%	7.1%	6.1%	5.4%
Beginning Equity Capital	60,908										
PV of Forecast Period	67,966										
PV of Continuing Value	98,828										
Equity Value	227,702										
No. of Shares	651										
Projected Price	350.0										
Implied 2025 PE	15.8x										

Source: Morgan Stanley Research (E) estimates

Exhibit 31: Giga-Byte's three-year P/E



Source: TEJ, Morgan Stanley Research (E) estimates.

Financials

Exhibit 32: Quarterly Earnings Estimates

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E	2024	2025E	2026E	2027E
Net sales	55,164	73,923	70,446	65,615	65,747	80,414	78,346	77,164	265,149	301,672	334,826	362,097
COGS	(48,931)	(65,943)	(63,205)	(58,977)	(57,267)	(70,776)	(69,183)	(68,430)	(237,056)	(265,656)	(297,697)	(323,610)
Gross profit	6,233	7,980	7,240	6,639	8,480	9,638	9,163	8,735	28,092	36,016	37,129	38,487
Operating expenses	(3,156)	(4,130)	(3,864)	(4,167)	(4,241)	(4,622)	(4,553)	(4,473)	(15,316)	(17,889)	(18,421)	(19,230)
SG&A	(2,485)	(3,380)	(3,166)	(2,157)	(3,247)	(3,619)	(3,540)	(3,450)	(11,188)	(13,856)	(14,057)	(14,509)
R&D	(671)	(749)	(698)	(2,010)	(993)	(1,003)	(1,013)	(1,023)	(4,128)	(4,034)	(4,364)	(4,721)
Operating income	3,077	3,851	3,377	2,472	4,240	5,016	4,610	4,262	12,777	18,127	18,708	19,258
Non-operating income	(338)	187	(385)	1,358	238	164	164	164	821	730	656	656
Interest income	(20)	(1)	66	82	13	13	13	13	127	50	50	50
Investment income	1	(1)	2	8	2	2	2	2	10	6	6	6
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	(443)	12	(629)	679	0	0	0	0	(380)	0	0	0
Other	124	177	175	588	224	150	150	150	1,065	674	600	600
Pre-tax income	2,739	4,037	2,991	3,830	4,478	5,180	4,774	4,426	13,598	18,857	19,364	19,914
Income tax	(666)	(760)	(665)	(751)	(1,085)	(1,450)	(955)	(708)	(2,843)	(4,198)	(4,160)	(4,283)
Minority interest	49	316	398	203	276	0	0	0	967	276	0	0
Net income	2,024	2,962	1,927	2,876	3,116	3,729	3,819	3,718	9,789	14,383	15,205	15,631
Adj. wtd.avg.shrs (mn)	651	651	651	651	651	651	651	651	651	651	651	651
EPS	3.11	4.55	2.96	4.42	4.79	5.73	5.87	5.71	15.05	22.11	23.37	24.03
Fully Diluted shares (mn)	635	635	635	635	635	635	635	635	651	651	651	651
Diluted EPS (NT\$)	3.19	4.67	3.04	4.53	4.91	5.88	6.02	5.86	15.05	22.11	23.37	24.03
Margins (%)												
Gross Margin	11.3	10.8	10.3	10.1	12.9	12.0	11.7	11.3	10.6	11.9	11.1	10.6
Operating Margin	5.6	5.2	4.8	3.8	6.4	6.2	5.9	5.5	4.8	6.0	5.6	5.3
Pretax Margin	5.0	5.5	4.2	5.8	6.8	6.4	6.1	5.7	5.1	6.3	5.8	5.5
Net Margin	3.7	4.0	2.7	4.4	4.7	4.6	4.9	4.8	3.7	4.8	4.5	4.3
QoQ Growth (%)												
Sales	21	34	-5	-7	0	22	-3	-2				
Gross Profit	24	28	-9	-8	28	14	-5	-5				
Operating Profit	103	25	-12	-27	72	18	-8	-8				
Pretax Profit	68	47	-26	28	17	16	-8	-7				
Net Profit	50	46	-35	49	8	20	2	-3				
YoY Growth (%)												
Sales	97	183	90	44	19	9	11	18	94	14	11	8
Gross Profit	76	158	47	32	36	21	27	32	69	28	3	4
Operating Profit	140	292	202	63	38	30	37	72	161	42	3	3
Pretax Profit	104	214	62	134	63	28	60	16	123	39	3	3
Net Profit	97	233	30	113	54	26	98	29	106	47	6	3

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 33: Consolidated Financial Summary

Consolidated Income Statement					Consolidated Cash Flow Statement				
NT\$m (Year End Dec 31)	2024	2025E	2026E	2027E	NT\$m (Year End Dec 31)	2024	2025E	2026E	2027E
Net sales	265,149	301,672	334,826	362,097	Operating Cashflow	(16,182)	(5,102)	8,807	10,444
COGS	(237,056)	(265,656)	(297,697)	(323,610)	Net Profits	9,789	14,383	15,205	15,631
Gross profit	28,092	36,016	37,129	38,487	Depreciation & Amort.	802	802	701	613
Operating expenses	(15,316)	(17,889)	(18,421)	(19,230)	Investment losses/(income)	(10)	(6)	(6)	(6)
Operating income	12,777	18,127	18,708	19,258	Working capital change	(23,756)	(19,652)	(6,522)	(5,324)
Non-operating income	821	730	656	656	Other adjustments	(2,916)	(629)	(571)	(469)
Interest income	127	50	50	50	Investing Cashflow	(3,077)	6	7	7
Investment income	10	6	6	6	Capex	(1,964)	0	0	0
Disposal of investment	-	-	-	-	Change of L/T investment	(210)	0	0	0
Exchange gain	(380)	-	-	-	Change of S/T investment	0	0	0	0
Other	1,065	674	600	600	Other adjustments	(908)	0	0	0
Pre-tax income	13,598	18,857	19,364	19,914	Financing Cashflow	17,190	(5,910)	(9,881)	(11,008)
Income tax	(2,843)	(4,198)	(4,160)	(4,263)	Increase in L/T debt	9,739	0	0	0
Minority interests	967	276	-	-	Increase in S/T debt	2,000	0	0	0
Net income	9,789	14,383	15,205	15,631	Issuance of stock	9,820	(193)	0	0
Adj. wtd. Avg. shrs (m)	651	651	651	651	Cash dividends	(4,339)	(8,355)	(12,277)	(12,979)
Reported EPS (NT\$)	15.05	22.11	23.37	24.03	Other adjustments	(29)	2,639	2,395	1,970
Diluted shrs (m)	651	651	651	651	FX adjustment	401	0	0	0
Diluted EPS (NT\$)	15.05	22.11	23.37	24.03	Net change in cash	(1,667)	(11,006)	(1,068)	(557)

Consolidated Balance Sheet					Consolidated Financial Ratios				
NT\$m (Year End Dec 31)	2024	2025E	2026E	2027E		2024	2025E	2026E	2027E
Cash	21,499	10,493	9,425	8,868	Margins (%)				
Mkt securities	2,062	2,062	2,062	2,062	Gross margin	10.6	11.9	11.1	10.6
AR/NR	28,551	32,484	36,054	38,990	Operating margin	4.8	6.0	5.6	5.3
Inventory	43,810	63,757	71,447	77,666	Pretax margin	5.1	6.3	5.8	5.5
Others	4,564	5,193	5,763	6,233	Net margin	3.7	4.8	4.5	4.3
Current Assets	100,486	113,989	124,751	133,819	YoY growth (%)				
Long-term investments	2,738	2,738	2,738	2,738	Sales	93.9	13.8	11.0	8.1
Fixed assets	6,427	5,619	4,911	4,291	Operating profits	161.0	41.9	3.2	2.9
Other assets	1,636	1,636	1,636	1,636	Pretax profits	122.7	38.7	2.7	2.8
Total Assets	111,287	123,982	134,037	142,485	Net profits	106.4	46.9	5.7	2.8
S/T borrowings	2,000	2,000	2,000	2,000	Others				
AP/NP	17,791	19,937	22,342	24,287	Cash dividend payout (%)	85%	85%	85%	85%
Other ST liabilities	17,259	19,341	21,674	23,561	Cash div (NT\$)	12.84	18.87	19.95	20.51
Total Current Liabilities	37,050	41,279	46,016	49,847	Yield (%)	5%	7%	7%	8%
L/T debt	-	-	-	-	Net Debt/Equity (%)	-39%	-17%	-15%	-13%
Other LT liabilities	19,156	21,795	24,190	26,161	Liabilities/Equity (%)	102%	104%	110%	114%
Total Liabilities	56,206	63,074	70,206	76,008	Liabilities/Assets (%)	51%	51%	52%	53%
Common shares	6,699	6,506	6,506	6,506	ROAE (%)	21%	25%	24%	24%
Retained Earnings	26,890	32,911	35,833	38,479	ROAA (%)	10%	12%	12%	11%
Other SH' Equity	21,492	21,492	21,492	21,492	AR/NR Turnover (days)	31	37	37	38
Total Shareholders' Equity	55,081	60,908	63,830	66,477	Inventory Turnover (days)	57	74	83	84
Total Liab./SH's Equity	111,287	123,982	134,037	142,485	AP/NP Turnover (days)	30	26	26	26
					Cash conversion cycle	58	85	94	96

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Giga-Byte Technology Co. Ltd. (2376.TW) Top Pick

Robust AI server demand, attractive valuation; OW

PRICE TARGET NT\$350.00

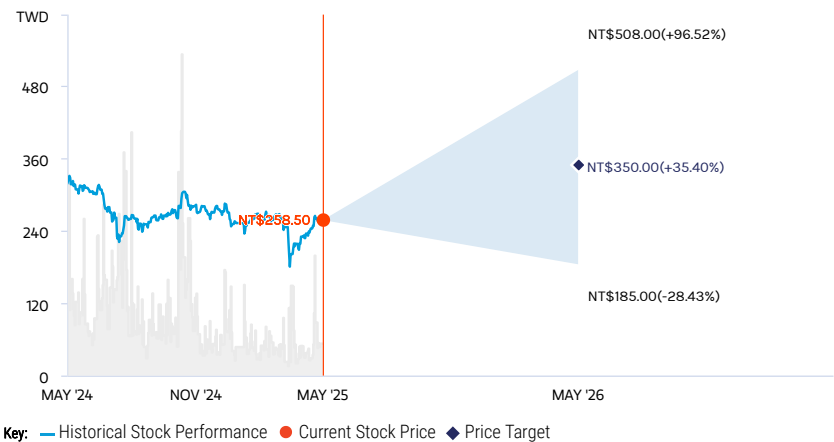
Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.2% (risk-free rate 1%, equity risk premium 6.0% and beta of 1.0), medium-term growth rate 6%, terminal growth rate 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

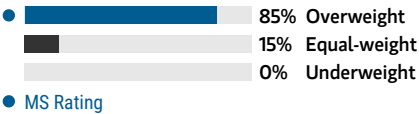


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Servers accounted for ~38% of revenue in 2023, and we expect this to grow to 65-70% by 2027, thanks to the contribution from its AI server business.
- We view Giga-Byte as a main beneficiary of the AI server boom. AI server revenue should rise from only ~24% of the mix in 2023 to 60-65% in 2027.
- Giga-Byte's execution to drive customer diversification and enhance product customizations within its AI business is playing out and showing on margins.
- Our price target implies ~16x 2025e P/E, above the average of Giga-Byte's five-year historical trading range of 11.5x. We find this fair because its mix is shifting toward more commercial exposure, e.g., AI servers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$508.00

23x 2025e EPS

We estimate the server business will grow 30% y/y in 2025 as demand from the non-tier 1 CSP customers exceeds market expectations. Demand for new PC GPUs from NVIDIA and AMD is also better than expected, growing 25-30% over the period.

BASE CASE

NT\$350.00

16x 2025e EPS

We project an 11% CAGR for overall sales from 2024 to 2027, driven mainly by rising AI server shipments. We expect a server revenue CARG of 10-15% over 2024-27, with its contribution rising from only ~38% in 2023 to 65-70% in 2027.

BEAR CASE

NT\$185.00

8x 2025e EPS

Macro uncertainties lead to a weaker server business than in our base case, causing revenue to decline 10-15% in 2025, while demand for new PC graphics cards from NVIDIA and AMD is also weaker than expected as the market is more saturated than we had thought.

Risk Reward – Giga-Byte Technology Co. Ltd. (2376.TW)

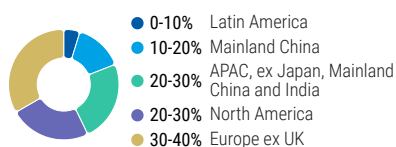
KEY EARNINGS INPUTS

Drivers	2024	2025e	2026e	2027e
MB revenue y/y (%)	(5.2)	15.1	(7.0)	7.7
VGA revenue y/y (%)	26.4	24.6	(1.1)	0.8
Server revenue y/y (%)	223.6	10.5	19.2	10.5

INVESTMENT DRIVERS

- Graphics card demand and pricing
- Motherboard demand and pricing
- Server demand
- Automotive demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected GPU demand
- Better-than-expected gaming motherboard demand
- Better-than-expected server demand from Tier 2/Tier 3 cloud customers
- Faster-than-expected AI server penetration rate

RISKS TO DOWNSIDE

- Weaker-than-expected GPU demand
- Weaker-than-expected gaming motherboard demand
- Weaker-than-expected server demand from Tier 2/Tier 3 cloud customers
- Slower-than-expected AI server penetration rate

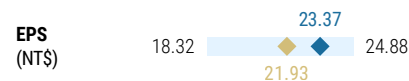
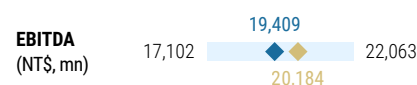
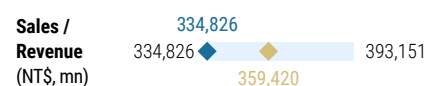
OWNERSHIP POSITIONING

Inst. Owners, % Active 67.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of April 30, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1501	40%	377	46%	25%	691	40%
Equal-weight/Hold	1667	44%	375	45%	22%	796	46%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	603	16%	76	9%	13%	229	13%
Total	3,774		828			1717	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/26/2025)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$37.45
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb41.81
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$32.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb9.21
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.41
Eoptolink Technology Inc Ltd (300502.SZ)	O (05/20/2025)	Rmb115.76
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$386.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.04
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb28.24
Largan Precision (3008.TW)	O (03/31/2025)	NT\$2,240.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.42
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb12.35
Q Technology (Group) Company Ltd (1478.HK)	E (11/10/2023)	HK\$6.85
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb72.54
Shenzhen Transsion Holdings Co Ltd (688036.SS)	O (10/24/2023)	Rmb75.02
Sunny Optical (2382.HK)	E (03/31/2025)	HK\$61.15

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (10/09/2024)	Rmb74.78
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb34.59
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$51.30
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb32.50
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$15.26
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb84.87
YuTong Optical Technology Co Ltd (300790.SZ)	E (04/05/2022)	Rmb20.08
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb18.90
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb92.36
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$22.20
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb31.47
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$721.00
Advantech (2395.TW)	O (01/20/2021)	NT\$343.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$898.00
AU Optronics (2409.TW)	E (09/15/2024)	NT\$13.25
Bizlink (3665.TW)	O (03/10/2025)	NT\$622.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb3.83
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK\$5.76
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$331.00
E Ink Holdings Inc. (8069.TWO)	E (05/08/2025)	NT\$210.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$36.10
GIS Holding Limited (6456.TW)	E (05/06/2023)	NT\$47.35
Hiwin Technologies Corp. (2049.TW)	U (05/12/2025)	NT\$227.00
Innolux (3481.TW)	E (04/07/2025)	NT\$12.55
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$2,050.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb20.99
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$149.00
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb12.79
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.42
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.37
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb57.53
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$34.90
Asustek Computer Inc. (2357.TW)	E (04/23/2025)	NT\$608.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$28.00
Giga-Byte Technology Co. Ltd. (2376.TW)	O (12/15/2022)	NT\$256.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$243.50
Guangdong Fenghua Adv. Tech. (Hldg) Co (000636.SZ)	E (05/12/2021)	Rmb13.30
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb50.04
Lenovo (0992.HK)	O (02/05/2025)	HK\$9.29
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,310.00
Nan Ya PCB (8046.TW)	U (12/21/2022)	NT\$114.50
Pegatron Corporation (4938.TW)	E (03/07/2022)	NT\$84.30
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$266.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb26.33
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb109.24
Unimicron (3037.TW)	E (04/15/2025)	NT\$110.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$115.00
Wiwynn Corp (6669.TW)	O (07/29/2024)	NT\$2,325.00
Yageo Corp. (2327.TW)	++	NT\$479.00
Zhen Ding (4958.TW)	E (08/02/2022)	NT\$102.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$608.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$561.00

Catcher Technology (2474.TW)	E (05/22/2024)	NT\$205.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$367.50
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb18.76
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$60.10
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb21.25
Guangzhou Shiyuan Electronic Tech Co Ltd (002841.SZ)	E (10/28/2021)	Rmb33.67
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$152.00
HTC Corporation (2498.TW)	E (12/06/2023)	NT\$39.30
LandMark Optoelectronics Corporation (3081.TWO)	E (01/09/2025)	NT\$296.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb8.11
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$101.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb31.24
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$101.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$109.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$103.00

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